Advanced Financial Accounting

An IFRS® Standards Approach, 3e

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Solutions Manual

Chapter 6

Group Reporting V: Equity Accounting under IAS 28 Joint Arrangements under IFRS 11

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(a) Prepare consolidation journal entries for the year ended 31 Dec 02						
1. Elimination of investment in Opal Ltd						
Dr Share capital				300000		
Dr Opening retained earnings				120000		
Dr Goodwill on consolidation				114000		
Cr Investment					450000	
Cr Non-controlling interests					84000	
2. Goodwill impairment (past and present) in Opal Ltd						
Dr Opening retained earnings				50000		
Dr Impairment of goodwill (Group's P&L)				40000		
Cr Goodwill on consolidation					90000	
3. Elimination of dividends declared by Opal						
Dr Dividend income from Opal (Jewel's P/L)				30000		
Dr Non-controlling interests (B/S)				5850		
Cr Tax expense (Jewel's P/L)					6600	
Cr Dividends declared, net (Opal's P/L)					29250	
4. Adjustment of unrealised profits in closing inventories as at 31 Dec 02						
Dr Sales (Jewel's)				100000		
Cr Cost of Sales (Jewel's)					70000	
Cr Closing Inventory (Opal's B/S)					30000	
Dr Prepaid tax				6000	(20%*30K)	
Cr Tax expense (Jewel's)					6000	

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5. Non-controlling interests - Change in post-acq RE to beginning of year					
Dr Opening Retained Earnings		18000			
Cr Non-controlling interests (B/S)			18000		
Non-controlling interests at 1.1.2002					
Retained earnings, 1 Jan 20x2		210000			
Retained earnings, 1 Jan 20x0		-120000			
Change in retained earnings		90000			
NCI's share of change in RE		18000			
6. NCI's share of profit afer tax for 2002					
Dr Non-controlling interests (P/L)		24960			
Cr Non-controlling interests (B/S)			24960		
Non-controlling interest share of Opal's profit after tax for 2002					
Movement					
Opening NCI			84000		
NCI's share of post-acq RE to 1 Jan 20x2			18000		
NCI's share of profit after tax			24960		
Dividends, net of tax			-5850		
Closing NCI			121110		
Check:					
Shareholders' equity of Opal Ltd as at 31 Dec 20x2			605550		
NCI's share @ 20%			121110		

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(1) Investment in Opal account (equity accounting)						
		Investment account				
Acquisition costs		450000	Dividends (Note 3)	23400		
Post-acq bf RE (Note 1)		72000	Past goodwill impairment	40000		
Profit after tax (Note 2)		48640	Bal at the end of 20x2	**507240**		
		570640		570640		
Note 1: Post acquisition RE						
RE at 1 Jan 20x2			210000			
RE at acquisition date			120000			
Change in RE			90000			
Share of change in post acquisition RE			72000			
Note 2: Share of change in profit after tax						
Opal's profit after tax (unadjusted)			124800			
Less goodwill impairment			-40000			
Less unrealized profit on intercompany sale			-30000			
Add back tax on unrealized profit on intercompany s			6000			
Opal's profit after tax (adjusted)			60800			
Share of Opal's profit			48640			
Note 3: Dividends received			23400	80%*29250		

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Reconciliation:					
Net assets of Opal 31.12.20x2		605550			
Jewel's share of Opal's net assets		484440	(80%*605550)		
Less unrealized profit (after-tax)		-19200	(80%*30000-6000)		
Goodwill (note 3)		42000			
Investment in Opal per reconciliation		**507240**			
Note 3: Goodwill					
Investment in Opal		450000			
Share of identifiable net assets		-336000	80%*420000		
Goodwil implicit in investment in Opal		114000			
Goodwill impairment = 80% * 90000		-72000			
Goodwil implicit in investment in Opal		42000			

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(2) Equity method versus consolidation:						
Essentially this question requires an analysis of the link between information and risk/value.						
You first need to understand the differences in impact on financial statements						
		Equity accounting		Consolidation		
Sales		Parent sales		Group Sales		
Net profit after tax and NC		Same figure		Same figure		
Total assets		Parent's assets + Investment		Group assets		
		under equity accounting				
Total liabilities		Parent's liabilities		Group liabilities		
Cash flow from operations		Same figure		Same figure		
Some issues						
(a) No direct cash flow effect but is there an indirect effect on contracting costs?						
(b) Will impact on contracting costs have any effect on capital market's assessment?						
(c) Equity accounting is less informative - are investors able to reconstruct the full info.						
or "undo" the effects of equity accounting. What is the impact of information costs						
on capital market's assessment of risk?						
(d) Any difference in the assessment of future cash flows from Opal under the						
differing assumptions of "control" and "significant influence"?						

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(1) Equity accounting entries			
E(1)			
Dr Investment in Sapphire	44080		
Dr Share of tax expense	11020		
Cr Share of profit of Sapphire		55100	
Equity accounted profits for the current year			
Workings for E(1)			
Profit after tax			60000
Regrossed, profit before tax (using tax rate of 20%)	(60K/0.8)		75000
Add previous year's unrealised profit now realised	(15000-10000)		5000
Less current year's unrealised profit	40% * (60k-40k)		-8000
Less depreciation on undervalued building	(See E2C)		-3125
Adjusted profit before tax			68875
Share of Sapphire's profit before tax			55100
Tax expense of Sapphire (20% of profit before tax)			15000
Less tax effects on unrealized profit on inventory	20%*(5000-8000)		-600
Less tax effects on under-depreciation	20%*$3,125		-625
Adjusted tax expense			13775
Share of Sapphire's tax expense			11020
E(2)			
Dr Investment in Sapphire	112800		
Cr Opening retained earnings		112800	
Equity accounted post-acq profits to beginning of year			
RE at start of year	300000		
RE at date of acquisition	-150000		
Change in RE	150000		
Less unrealized profit from previous year	-5000		
Add tax on unrealized profit from previous year	1000	(20%*5,000)	
Less share of past cumulative depreciation on under-			
valued buildings	-6250	31250/10*2	
Add tax on share of past cumulative depreciation	1250	(20%*6,250)	
Adjusted change in RE	141000		
Share of Sapphire's post-acq RE	112800		
Alternatively, three separate entries can be prepared to show the effects of E2			
E(2A)			
Dr Investment in Sapphire	120000		
Cr Opening retained earnings		120000	
Equity accounted post-acq profits to beginning of year			

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RE at start of year				300000		
RE at date of acquisition				-150000		
Change in RE				150000		
Prism's share				120000		
E(2B)						
Dr Opening retained earnings				3200		
Cr Investment in Sapphire					3200	
Adjustment for unrealized profit at start of year				(15000-10000)*80%*80%		
E(2C)						
Dr Opening retained earnings				4000		
Cr Investment in Sapphire					4000	
Share of past cumulative depreciation on undervalued buildings, after tax						
(80%*2.5K*2)						
Excess of fair value over book value of buildings						
Investment in Sapphire				300000		
Share capital of Sapphire			200000			
Retained earnings at acquisition date			150000			
Book value at acquisition date			350000			
Prism's share @ 80%				280000		
Differential (FV-BV), after tax				20000		
					Regrossed	
Before tax undervaluation of buildings and equipment				25000	31250	
Deferred tax liability on FV-BV of buildings/equipt				-5000	-6250	
FV-BV, after tax				20000	25000	
Depreciation on undervaluation				2500	3125	
Tax on depreciation				500	625	
E(4)						
Dr Dividend income				16000		
Cr Investment in Sapphire					16000	
Reclassification of dividend income to reduction of investment account						

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(2) Analytical check of Investment in Sapphire							
		Investment in Sapphire (equity method)					
Acquisition costs			300000	Dividend received (E4)			16000
Share of post-acq RE (E2)			112800				
Share of current profit (E1)			44080	Balance at the end of the year			440880
			456880				456880
Shareholders' equity of Sapphire at 31 Dec 20x9							540000
Net book value of fair value adjustment, after tax					(Note 1)		17500
Unrealized profit on upstream sale							-8000
Tax on unrealized profit on upstream sale							1600
Adjusted shareholders' equity of Sapphire at 31 Dec 20x9							551100
Prism's share @ 80%							440880
Note 1:							
Balance of under-valuation of building				31250*7/10*0.8		(7 years remaining)	
						after-tax effects	

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Part 1 (a) and (b)

	A-Co		
Profit before tax	6,000,000		
Tax	1,500,000		
Profit after tax	4,500,000		
Dividends	-150,000		
Retained profit	4,350,000		
Investment in Associate		10,000,000	
% ownership		30%	
	Cost method		**Equity accounting**
Dividends	45,000	(note 1)	0
Share of profit in A Co	0		1,350,000
After-tax income	**45,000**		**1,350,000**
Investment in A	**10,000,000**		**11,305,000**

Note 1: Tax-exempt, the position assumed in the text.

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Part (2):

Consider the arguments put forward by Mazay, Wilkins and Zimmer[1]. Their paper focuses on the motivations for the choice between cost and the equity accounting methods. Extending the analysis to the fair value method and using your critical analysis of the paper's hypotheses (you may choose to disagree or include new factors not discussed in the paper), explain which of the three methods would be preferred by the following groups and under what conditions?

(a) I-Co's management

- **Whether there are incentives for opportunistic behaviour, e.g. existence of profit-based compensation schemes (applies to subsequent discussion on managerial manipulation of profits)**
- Ability to **manipulate dividends** to regulate the flow of income versus the ability **to manipulate profits** through the equity method.
  - **The greater the percentage shareholding, the greater the ability to manipulate dividends and the greater the pressure from lenders and other claimholders for the company to use the equity method (hypothesis 1).**
  - The assumption in the MWZ paper is that dividends are easier to manipulate than profits
    - is this a fair assumption?
    - the assumption is that dividend policy is less subject to external scrutiny/audit than accounting profit
  - Another condition for I-Co to manipulate dividend policy is the absence of large block holders or powerful minorities that may restrict I-Co's control over dividend policies.
  - MWZ suggest that if **an investee is listed, the greater the public scrutiny on managerial decisions and the less the attractiveness of the cost method (hypothesis 4).**
  - The **fair value method** – I-Co will also be able to manipulate the flow of profits through dividends but it will have to accept the increased volatility on income from change in fair values.
- **Whether the investee is profitable or loss-making?**
  - **If loss-making, greater incentives to use the cost method** as worst-case scenario is zero profit (barring impairment losses); equity method would result in income-decreasing and asset-decreasing tendencies.

[1] "Determinants of the Choice of Accounting for Investments in Associated Companies", Contemporary Accounting Research, Vol. 10 No. 1 (Fall 1993)

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- **Fair value method – less likely to be a popular option if subsidiaries are loss-making because greater likelihood of price declines.**
- MWZ refers to the **tendency of companies to avoid consolidating loss-making subsidiaries by avoiding the 50% threshold** – equity accounting would undo this "restructuring" effort of the investor.

- Whether there are **high levels of interdependencies** e.g. related party sales.
  - **Profit on inter-company transactions** between investor and associates **are not eliminated under the cost method**, hence there are incentives for the investor-seller to use the cost method.
  - However, **this is only a temporary difference** (the article does not make reference to the lower profit in the subsequent period).
  - **MWZ uses intra-group guarantees as a proxy for material interdependencies (hypothesis 5).**

- **Lender's preference for a particular accounting method**
  - if "unrealised" profits under equity accounting are seen as not leading to cash flows, lenders will prefer the cost method. **The greater the access of an investor to an investee's cash flows, the more likely the preference for equity accounting.**
  - **extending the analysis to fair value method**, it is likely the fair value method is more favoured if the holding is short-term as the fair value is close to the likely cash flow effects.

(b) I-Co's equity holders – they are concerned that managers do not behave opportunistically.

- **The costs of monitoring by claimholders or reconciling one method over the other.**
  - **the greater the costs, the greater the likelihood of opportunism**
  - **claimholders would prefer the equity method because it is supposed to be less subject to manipulation than the cost method**
  - another reason not mentioned by MWZ: **it's easier to reconcile from the equity method to the cost method than vice-versa**
  - **MWZ uses the number of associates as a proxy for the costs of monitoring (hypothesis 2).**

(c) **I- Co's lenders.**

- I-Co's lenders will probably prefer the equity method because there are a less incentives for I-Co's managers to increase dividend payments from A-Co to manage earnings.
- More complete view of the financial performance and financial position of I-Co under equity method than the cost method.

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1. Prepare the equity accounting entries for 20x5					
EA1: Recognize share of post-acq RE of A					
Dr Investment in A		21,000			
Cr Opening RE			21,000		
RE of A as at 1 Jan 20x5			100,000		
RE of A as at date of acquisition			30,000		
Change in RE			70,000		
Share of A's change in RE			21,000		
EA2: Recognize share of impairment loss on intangible asset					
Dr Opening RE		4,800			
Cr Investment in A			4,800	30%*50%*80%*40000	
EA3: Adjustment of after-tax unrealized profit on sale of inventory from 20x4.					
Dr Opening RE		1,200	30%*80%*5000		
Cr Investment in A			1,200		
(EA1,2 and 3 can be combined)					
EA4: Reclassify dividend income as a reduction of investment					
Dr Dividend income		6,000	30%*20000		
Cr Investment in A			6,000		
EA5: Recognize share of current profit after tax of A					
Dr Investment in A		49,200			
Cr Share of profit after tax of A			49,200		
Alternative presentation:					
Dr Investment in A		49,200			
Dr Share of tax of A		12,300	30%*41000		
Cr Share of profit of A			61,500	30%*205000	
NPBT of A			200,000		
Add realized profit on sale			5,000		
Adjusted NPBT of A			205,000		
Tax expense of A			40,000		
Add tax on realized profit on sale			1,000		
Adjusted tax expense of A			41,000		
2. Analytical check of Investment in A:					
Book value of shareholders' equity of A			340,000		
Unimpaired balance of intangible asset (after-tax)			16,000	80%*50%*40000	
			356,000		
P's share of A's identifiable net assets			106,800	30%*356000	
Implicit goodwill in investment in A:					
Investment in A		200,000			
BV of net assets of A at acq	130,000				
Unrecognized intangible (after-tax)	32,000				
FV of net assets of A at acq	162,000				
Less Share of FV of net assets of A at acq		48,600			
Goodwill in A implicit in the investment in A			151,400		
			258,200		
Investment in A, at cost			200,000		
EA1: Share of post-acq RE			21,000		
EA2:Share of impairment loss			-4,800		
EA3:Adjustment for unrealized profit (after-tax)			-1,200		

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EA4:Dividend received				-6,000		
EA5:Share of current profit after tax				49,200		
Investment in A as at 31 Dec 20x5				258,200		

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Part (1): Consolidation adjustments				
CJE1: Allocate cost of business combination to goodwill and fair value adj				
Dr Share capital (S Co)			300,000	
Dr Retained earnings (S Co)			120,000	
Dr Goodwill			1,780,000	
Dr In-process R&D			1,000,000	
Dr Inventory			50,000	
Cr Contingent liability				50,000
Cr Deferred tax liability				200,000
Cr Investment in S Co				2,100,000
Cr Non-controlling interests				900,000
			3,250,000	3,250,000
Fair value of consideration transferred			(1)	2,100,000
Fair value of net assets as at date of acquisition				1,420,000
DTL on fair value adjustments=20%*(1m+50K-50K)				-200,000
Fair value of net assets after DTL			(4)	1,220,000
Fair value of non-controlling interests as at date of acquisition (2)				900,000
Fair value of consideration and non-controlling interests			(3)=(1)+(2)	3,000,000
Entity goodwill			(3)-(4)	1,780,000
Goodwill attributable to P				1,246,000
Goodwill attributable to non-controlling interests				534,000
				1,780,000
CJE2a: Recognize past impairment of in-process R&D				
Dr Opening retained earnings			70,000	
Dr Non-controlling interests			30,000	
Cr In-process R&D				100,000
CJE2(b): Recognize tax expense on past impairment of in-process R&D				
Dr Deferred Tax Liability			20,000	
Cr Opening RE				14,000
Cr Non-controlling interests				6,000
CJE3a: Recognize past increase in cost of sales of undervalued inventory				
Dr Opening retained earnings			35,000	
Dr Non-controlling interests			15,000	
Cr Inventory				50,000
CJE3b: Recognize tax expense on past increase in cost of sales				
Dr Deferred tax liability			10,000	
Cr Opening retained earnings				7,000
Cr Non-controlling interests				3,000

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CJE4a: Adjust expensing off contingent liability to avoid double-counting					
and to show that the contingent liability in CJE 1 has been settled					
Dr Contingent liability				50,000	
Cr Claims expense					50,000
		What is		What should be	
S's books		Dr Claims expense	50000	Dr Contingent Liab	50000
		Cr Cash	50000	Cr Cash	50000
Group				Contingent liability already	
				provided in CJE1	
CJE4b: Recognize tax effect on contingent liability					
Dr Tax expense				10,000	
Cr Deferred tax liability					10,000
CJE5: Adjust unrealized profit from upstream sale included in opening RE					
Dr Opening retained earnings			2,800		
Dr Non-controlling interests			1,200		
Cr Cost of sales				4,000	

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CJE6: Adjust tax on unrealized profit from upstream sale incl. in opening RE			
Dr Tax expense	800		
Cr Opening retained earnings		560	
Cr Non-controlling interests		240	
CJE7: Adjust unrealized profit from upstream sale in 20x3			
Dr Sales	200,000		
Cr Cost of Sales		184,000	
Cr Inventory		16,000	
CJE8: Adjust tax on unrealized profit from upstream sale in 20x3			
Dr Deferred Tax Asset	3,200		
Cr Tax expense		3,200	
CJE9: Allocate current profit after tax to Non-controlling interests			
Dr Income to Non-controlling interests	119,520		
Cr Non-controlling interests		119,520	
Net profit after tax (S)		368,000	
Less unrealized profit for 20x3		-16,000	
Add tax on unrealized profit for 20x3		3,200	
Add realized profit from 20x2		4,000	
Less tax on realized profit from 20x2		-800	
Add back claims expense (contingent liability) (after-tax)		40,000	
Adjusted profit after tax		398,400	
NCI's share @30%		119,520	
CJE 10: Eliminate dividend income against dividend declared			
Dr Dividend income	70,000		
Dr Non-controlling interests	30,000		
Cr Dividend declared by S		100,000	
CJE11: Recognize NCI's share of post-acq RE to 1 Jan 20x3			
Dr Opening RE	39,000		
Cr Non-controlling interests		39,000	
RE at 1 Jan 20x3		250,000	
RE at acquisition date		120,000	
Change in RE		130,000	
EA1: Recognize share of post-acq RE of A			
Dr Investment in A	16,000		
Cr Opening RE		16,000	
RE of A as at 1 Jan 20x3		160,000	
RE of A as at date of acquisition		120,000	
Change in RE		40,000	
Share of A's change in RE		16,000	

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EA2: Adjusment for unrealized profit in beginning inventory			
Dr Opening RE	1,920		
Cr Investment in A		1,920	
Unrealized profit from P's sales to A in 20x2	6,000	(20K * 30%)	
Tax on unrealized profit	-1,200		
Unrealized profit after-tax	4,800		
P's share of unrealized profit after-tax	1,920		
EA3: Adjustment for past depreciation on under-valued FA			
Dr Opening RE	2,560	(40K/5*40%*80%)	
Cr Investment in A		2,560	
(Note: EA1 to EA3 may be combined)			
EA4: Reclassify dividend income as a reduction of investment			
Dr Dividend income	24,000		
Cr Investment in A		24,000	(40%*60K)
EA5: Recognize share of current profit after tax of A			
Dr Investment in A	192,800		
Cr Share of profit after tax of A		192,800	
Alternatively:			
Dr Investment in A	192,800		
Dr Share of tax of A	54,400		
Cr Share of profit of A		247,200	
Profit before tax of A		620,000	
Less depreciation on undervalued fixed asset (40k/5)		-8,000	
Add realized profit from 20x2 (P's transfer to A)		6,000	
Adjusted profit before tax of A		618,000	
Share of adjusted profit before tax of A		247,200	
Tax expense of A		136,400	
Less tax on depreciation on undervalued fixed asset		-1,600	
Add tax on realized profit from 20x2 (P's transfer to A)		1,200	
Adjusted tax of A		136,000	
Share of adjusted tax of A		54,400	
Part (2) see worksheets attached			

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(2) Consolidation Worksheets							
Income Statement for y/e 31 Dec 20x3	P Co	S Co	Consolidation adjusments			TOTAL
			Dr	Cr		
Sales	5,000,000	3,500,000	200,000			8,300,000
Cost of sales	-4,000,000	-3,000,000		184,000		-6,812,000
				4,000		
Gross profit	1,000,000	500,000				1,488,000
Other income	140,000	30,000	70,000			76,000
			24,000			
Operating expenses	-150,000	-70,000		50,000		-170,000
Share of associate's profit				192,800		192,800
Net profit before tax	990,000	460,000				1,586,800
Tax expense	-198,000	-92,000	800	3,200		-297,600
			10,000			
Net profit after tax	792,000	368,000				1,289,200
Income to non-controlling interests			119,520			-119,520
Dividends declared	-50,000	-100,000		100,000		-50,000
Net profit attributable to						
shareholders	742,000	268,000				1,119,680
Retained earnings, 1 Jan 20x3	2,500,000	250,000	39,000	560		2,516,280
			1,920	16,000		
			120,000	14,000		
			70,000	7,000		
			35,000			
			2,800			
			2,560			
Retained earnings, 31 Dec 20x3	3,242,000	518,000	695,600	571,560		3,635,960
Statement of Financial Position as at 31 Dec 20x3						

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	P Co	S Co	DR	CR		TOTAL
Investment in S Co	2,100,000			2,100,000		
Investment in A Co	200,000		16,000	1,920		380,320
				24,000		
			192,800	2,560		
Goodwill			1,780,000			1,780,000
In-process R&D			1,000,000	100,000		900,000
Fixed assets	4,000,000	40,000				4,040,000
Inventory	2,000,000	450,000	50,000	16,000		2,434,000
				50,000		
Deferred tax asset			3,200			3,200
Accounts receivable	1,000,000	350,000				1,350,000
Cash	120,000	40,000				160,000
	9,420,000	880,000	3,042,000	2,294,480		11,047,520
Deferred tax liability			20,000	200,000		180,000
			10,000	10,000		
Contingent liability			50,000	50,000		0
Accounts payable	3,178,000	62,000				3,240,000
Share capital	3,000,000	300,000	300,000			3,000,000
Retained earnings	3,242,000	518,000	695,600	571,560		3,635,960
Non-controlling interests			30,000	240		991,560
			30,000	119,520		
			15,000	39,000		
			1,200	900,000		
				6,000		
				3,000		
	9,420,000	880,000	1,151,800	1,899,320		11,047,520
See check under consolidation adjustments.			4,193,800	4,193,800		

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Part (3) Analytical check of Non-controlling interests		
CJE1: NCI at acquisition date	900,000	
CJE2: Share of past impairment loss	-30,000	
CJE2b: Share of tax on past impairment loss	6,000	
CJE3:Share of past COS adj on under-val inventory	-15,000	
CJE3b: Share of tax on past COS	3,000	
CJE5: Share of adj of unrealized profit in begg inventory	-1,200	
CJE6: Share of adj of tax effects of CJE5	240	
CJE9: Share of adjusted current profit after tax	119,520	
CJE10: Dividends paid to NCI	-30,000	
CJE11: NCI's share of post-acq RE	39,000	
NCI as at 31 Dec 20x3	991,560	
Book value of net assets of S Co as at 31 Dec 20x3	818000	
Unrealized profit included in net assets of S Co (after-tax)	-12,800	
Adjusted book value of net assets of S Co	805,200	
Unimpaired balance of in-process R&D (after-tax)	720,000	
Adjusted net assets of S Co as at 31 Dec 20x3	1,525,200	
NCI's share of identifiable net assets as at 31 Dec 20x3	457,560	
NCI's share of goodwill	534,000	
NCI as at 31 Dec 20x3	991,560	
Part (3):Analytical check of Investment in A:		
Book value of shareholders' equity of A		783,600
(No unrealized profit adjustment for RE at year-end)		
Balance of fair value adjustment (fixed assets)		19,200
		802,800
P's share of A's identifiable net assets		321,120
Implicit goodwill in investment in A:		
Investment in A	200,000	
Less Share of FV of net assets of (after-tax)	140,800	
Goodwill in A implicit in the investment in A		59,200
Investment in A, equity method		380,320
(DTL=40%*20%*40000)		
Investment in A, at cost		200,000
EA1: Share of post-acq RE		16,000
EA2: Adjustment for unrealized profit (after-tax) in beginning RE		-1,920
EA3: Adjustment for past depreciation on under-valued FA		-2,560
EA4:Dividend received		-24,000
EA5:Share of current profit after tax		192,800
Investment in A as at 31 Dec 20x3		380,320

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Part (1): Consolidation and equity accounting entries for 20X5					
CJE1: Elimination of investment in X Co					
Dr Share capital		500,000			
Dr Retained earnings		1,000,000			
Dr Inventory		50,000			
Dr Goodwill		460,000			
Cr Deferred tax liability			10,000		
Cr Investment in X			1,800,000		
Cr Non-controlling interests			200,000		
		2,010,000	2,010,000		
Fair value of consideration			1,800,000		
Fair value of non-controlling interests			200,000		
			2,000,000		
Fair value of identifiable net assets (after deferred tax)			-1,540,000		
Goodwill			460,000		
Goodwill attributable to P			414,000		
Goodwill attributable to non-controlling interests			46,000		
			460,000		
CJE2: Cost of sales adjustment for under-valued inventory to opening RE					
Dr Opening RE		45,000			
Dr Non-controlling interests		5,000			
Cr Inventory			50,000		
CJE3: Tax effects of CJE2					
Dr Deferred tax liability		10,000			
Cr Opening RE			9,000		
Cr Non-controlling interests			1,000		
CJE4: Adjustment for unrealized profit on transfer of fixed assets in opening RE					
Reinstate to original cost and accumulated depreciation prior to transfer					
Dr Opening RE		72,000			
Dr Non-controlling interests		8,000			
Cr Fixed assets			20,000		
Cr Accumulated depreciation			60,000		
			Shd be	What is	Adjustmt
Fixed assets, cost			100,000	120,000	-20,000
Accumulated depreciation			-60,000	0	-60,000
Net book value			40,000	120,000	-80,000
CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets in opening RE					
Dr Deferred tax asset		16,000			
Cr Opening RE			14,400		
Cr Non-controlling interests			1,600		
CJE6: Adjustment of current and past depreciation of transferred fixed asset					
Dr Accumulated depreciation		80,000			
Cr Depreciation			40,000		
Cr Opening RE			36,000		
Cr Non-controlling interests			4,000		
Depreciation before transfer				20,000	
Depreciation after transfer				60,000	
Annual over-depreciation to be corrected (20X4&20X5)				-40,000	

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CJE7: Tax effects on CJE6					
Dr Tax expense		8,000			
Dr Opening RE		7,200			
Dr Non-controlling interests		800			
Cr Deferred tax asset			16,000		
CJE8: Allocate share of post-acq RE to NCI					
Dr Opening RE		60,000			
Cr NCI (BS)			60,000		
RE at 1 Jan 20X5				1,600,000	
RE at date of acquisition				1,000,000	
Change in RE				600,000	
NCI's share				60,000	
CJE9: Eliminate dividends declared by X Co					
Dr Dividend income		216,000			
Dr Non-controlling interests		24,000			
Cr Dividend declared			240,000		
CJE10: Adjust unrealized profit from ending inventory					
Dr Sales		30,000			
Cr Cost of sales			10,000		
Cr Inventory			20,000		
CJE11: Adjust tax on unealized profit in ending inventory					
Dr Deferred tax asset		4,000			
Cr Tax expense			4,000		
CJE12: Allocate share of current income to NCI					
Dr Income to NCI		403,200			
Cr NCI (BS)			403,200		
NPAT of X Co				4,000,000	
Add correction of excess depreciation				40,000	
Less tax on excess depreciation				-8,000	
Adjusted NPAT				4,032,000	

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EA1: Recognize share of post-acq RE of Z				
Dr Investment in Z	60,000			
Cr Opening RE		60,000		
RE of Z as at 1 Jan 20X5		1,000,000		
RE of Z as at date of acquisition		800,000		
Change in RE		200,000		Can be combined
Share of Z's change in RE		60,000		
EA2: Adjustment for unrealized profit in beginning inventory				
Dr Opening RE	480			
Cr Investment in Z		480		
Unrealized profit from P's sales to Z in 20X4	2,000	(20K * 10%)		
Tax on unrealized profit	-400			
Unrealized profit after-tax	1,600			
P's share of unrealized profit after-tax	480			
EA3: Reclassify dividend income as a reduction of investment				
Dr Dividend income	30,000			
Cr Investment in Z		30,000	(30%*100K)	
EA4: Recognize share of current profit after tax of Z				
Dr Investment in Z	290,160			
Cr Share of profit after tax		290,160		
Alternatively:				
Dr Investment in Z	290,160			
Dr Share of tax of Z	57,540			
Cr Share of profit of Z		347,700		
Profit before tax of Z		1,200,000		
Less impairment of intangible		-40,000		
Add realized profit from 20X4 (P's transfer to Z)		2,000		
Less unrealized profit from 20X5 (Z's transfer to P)		-3,000		
Adjusted profit before tax of Z		1,159,000		
Share of adjusted profit before tax of Z		347,700		
Tax expense of Z		200,000		
Less tax on impairment of intangible		-8,000		
Add tax on realized profit from 20X4 (P's transfer to Z)		400		
Less tax on unrealized profit from 20X5 (Z's transfer to P)		-600		
Adjusted tax of Z		191,800		
Share of adjusted tax of Z		57,540		
Part (2): Analytical check of Non-controlling Interests:				
Book value of net assets as at 31 Dec 20X5		5,860,000		
Unamortized balance of FV adjustment		0		
Adjustment for unrealized profit on fixed assets		0	(fully depreciated)	
Adjusted identifiable net assets as at 31 Dec 20X5		5,860,000		
NCI's share of identifiable net assets		586,000		
NCI's share of goodwill		46,000		
NCI balance as at 31 Dec 20x5		632,000		
CJE1: NCI at date of acquisition		200,000		
CJE2: Adjustment for cost of sales of over-valued inventory		-5,000		
CJE3: Tax effects of CJE2		1,000		
CJE4: Adjustment for gain on sale of FA		-8,000		

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CJE5:Adjustment for tax on gain on sale of FA		1,600		
CJE6:Adjustment for depreciation on gain on sale		4,000		
CJE7:Adjustment for tax on depreciation		-800		
CJE8: Share of post-acq RE		60,000		
CJE9: Dividends received		-24,000		
CJE12: Allocate share of current income to NCI		403,200		
NCI balance as at 31 Dec 20X5		632,000		
Part (3): Analytical check of Investment in Z:				
Book value of shareholders' equity of Z			2,200,000	
Adjustment to RE for unrealized profit at year-end (after-tax)			-2,400	
Unimpaired balance of intangible asset (after-tax)			128,000	
			2,325,600	
P's share of Z's identifiable net assets			697,680	
Implicit goodwill in investment in Z:				
Investment in Z		500,000		
BV of net assets of Z at acq	1,100,000			
Unrecognized intangible (after-tax)	160,000			
FV of net assets of Z at acq	1,260,000			
Less Share of FV of net assets of Z at acq		378,000		
Goodwill in Z implicit in the investment in Z			122,000	
			819,680	
Investment in Z, at cost			500,000	
EA1: Share of post-acq RE			60,000	
EA2: Adjustment for unrealized profit (after-tax) in beginning RE			-480	
EA3:Dividend received			-30,000	
EA4:Share of current profit after tax			290,160	
Investment in Z as at 31 Dec 20X5			819,680	

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CJE1: Elimination of investment in Y Co				
Dr Share capital		500,000		
Dr Retained earnings		1,000,000		
Dr Intangible asset		200,000		
Dr Goodwill		320,000		
Cr Deferred tax liability			40,000	
Cr Investment in Y Co			1,800,000	
Cr Non-controlling interests			180,000	
		2,020,000	2,020,000	
Fair value of identifiable net assets (after deferred tax)			1,660,000	
Goodwill = Fair value of business combination + Fair value of NCI - Fair value of identifiable net assets at date of acquisition				
Goodwill attributable to P Co		306,000	=1800000-90%*1660000	
Goodwill attributable to NCI		14,000	=180000-10%*1660000	
		320,000		
CJE2: Adjustment for unrealized profit on transfer of fixed assets				
Reinstate to original cost and accumulated depreciation prior to transfer				
Dr Gain on sale		102,000		
Cr Fixed assets			30,000	
Cr Accumulated depreciation			72,000	
		Shd be	What is	Adjustmt
Fixed assets, cost		120,000	150,000	-30,000
Accumulated depreciation		-72,000	0	-72,000
Net book value		48,000	150,000	-102,000
CJE3: Adjustment for tax on unrealized profit on transfer of fixed assets				
Dr Deferred tax asset		20,400		
Cr Tax expense			20,400	
CJE4: Adjustment of current depreciation on transferred fixed asset				
Dr Accumulated depreciation		34,000		
Cr Depreciation			34,000	
Remaining useful life is changed to 3 years from 1 Jan 20x5.				
Excess depreciation		=Gain on sale/remaining useful life		
				34,000
Alternatively, compare the revised depreciation if no transfer is made and depreciation after transfer				
Depreciation before transfer			48000/3	16,000
Depreciation after transfer			150000/3	50,000
Annual over-depreciation to be corrected (2005)				-34,000
CJE5: Tax effects on CJE5				
Dr Tax expense		6,800		
Cr Deferred tax asset			6,800	
CJE6: Allocate share of post-acq RE to NCI				
Dr Opening RE		50,000		
Cr NCI (BS)			50,000	
RE at 1 Jan 2005				1,500,000
RE at date of acquisition				1,000,000
Change in RE				500,000
NCI's share				50,000

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CJE7: Eliminate dividends declared by Y Co			
Dr Dividend income	180,000		
Dr Non-controlling interests	20,000		
Cr Dividend declared		200,000	
No adjustment is required for the transfer of inventory at a loss.			
Since the transfer price was at market price, the loss on transfer			
is indicative of an impairment loss and no reversal is required of the loss.			
CJE8: Allocate share of current income to NCI			
Dr Income to NCI	98,560		
Cr NCI (BS)		98,560	
NPAT of Y Co			1,040,000
Less Gain on sale of FA			-102,000
Add tax on gain on sale of FA			20,400
Add depreciation on gain on sale of FA			34,000
Less tax expense on gain on sale of FA			-6,800
Adjusted NPAT			985,600
Analytical check of Non-controlling Interests:			
Book value of net assets as at 31 Dec 2005		2,840,000	
Adjustment for unrealized gain on FA (after-tax)		-54,400	
		2,785,600	
Unamortized balance of FV adjustment (after-tax)		160,000	
Adjusted net assets as at 31 Dec 2005		2,945,600	
NCI's share		294,560	
NCI's share of goodwill		14,000	
Total NCI		308,560	
CJE1: NCI at date of acquisition		180,000	
CJE6: Share of post-acq RE		50,000	
CJE7: Dividends received		-20,000	
CJE8: Allocate share of current income to NCI		98,560	
NCI balance as at 31 Dec 2005		308,560	
EA1: Recognize share of post-acq RE of Z Co			
Dr Investment in Z Co	60,000		
Cr Opening RE		60,000	
RE of Z Coas at 1 Jan 2005		900,000	
RE of Z Co as at date of acquisition		700,000	
Change in RE		200,000	
Share of Z Co's change in RE		60,000	
EA2: Reclassify dividend income as a reduction of investment			
Dr Dividend income, gross	30,000		
Cr Investment in Z Co		30,000	(30%*100K)
EA3: Recognize share of current profit after tax of Z Co			
Dr Investment in Z Co	308,400		
Cr Share of profit after tax of Z Co		308,400	
Alternatively:			
Dr Investment in Z Co	308,400		
Dr Share of tax of Z Co	84,600		
Cr Share of profit of Z Co		393,000	

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Profit before tax of Z Co		1,400,000	
Less impairment of intangible		-90,000	
Adjusted profit before tax of Z Co		1,310,000	
Tax expense of Z Co		300,000	
Less tax on impairment of intangible		-18,000	
Adjusted tax expense of Z Co		282,000	
Analytical check of Investment in Z Co:			
Book value of shareholders' equity of Z Co			2,200,000
Unimpaired balance of intangible asset (after-tax)			168,000
			2,368,000
P's share of Z's identifiable net assets			710,400
Implicit goodwill in investment in Z Co:			
Investment in Z Co		500,000	
BV of net assets of Z Co at acq	1,000,000		
Unrecognized intangible (after-tax)	240,000		
FV of net assets of Z Co at acq	1,240,000		
Less Share of FV of net assets of Z Co at acq		372,000	
Goodwill in Z Co implicit in the investment in Z Co			128,000
			838,400
Investment in Z Co, at cost			500,000
EA1: Share of post-acq RE			60,000
EA2:Dividend received			-30,000
EA3:Share of current profit after tax			308,400
Investment in Z Co as at 31 Dec 2005			838,400

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CJE1: Elimination of investment in Y Co					
Dr Share capital		1,000,000			
Dr Retained earnings		500,000			
Dr Inventory		100,000			
Dr Goodwill		520,000			
Cr Deferred tax liability			20,000		
Cr Investment in Y Co			1,900,000		
Cr Non-controlling interests			200,000		
		2,120,000	2,120,000		
Goodwill attributable to P Co			478,000		
Goodwill attributable to Non-controlling interests			42,000		
			520,000		
CJE2: Sale of under-valued inventory					
Dr Opening RE		90,000	(90%*100,000)		
Dr Non-controlling interests		10,000	(10%*100,000)		
Cr Inventory			100,000		
CJE3: Tax effects of sale of under-valued inventory					
Dr Deferred tax liability		20,000			
Cr Opening RE			18,000		
Cr Non-controlling interests			2,000		
CJE4: Adjustment for unrealized profit on upstream transfer in opening RE					
Dr Opening RE		129,600	(90%*90%*160,000)		
Dr Non-controlling interest		14,400	(10%*90%*160,000)		
Cr Cost of sales			128,000	(80%*160,000)	
Cr Inventory			16,000	(10%*160,000)	
CJE5: Adjustment for tax on unrealized profit on CJE4					
Dr Tax expense		25,600	(20%*128,000)		
Dr Deferred tax asset		3,200	(20%*16,000)		
Cr Opening RE			25,920	(20%*129,600)	
Cr Non-controlling interests			2,880	(20%*14,400)	
CJE6: Allocate share of post-acq RE to NCI					
Dr Opening RE		40,000			
Cr NCI (BS)			40,000		
RE at 1 Jan 20x5				900,000	
RE at date of acquisition				500,000	
Change in RE				400,000	
NCI's share@10%				40,000	
CJE7: Eliminate dividends declared by Y Co					
Dr Dividend income		180,000			
Dr Non-controlling interests		20,000			
Cr Dividend declared			200,000		
CJE8: Allocate share of current income to NCI					
Dr Income to NCI		106,240			
Cr NCI (BS)			106,240		
NPAT of Y Co				960,000	
Add realized sale on inventory				128,000	
Less tax on gain on realized sale				-25,600	
Adjusted NPAT				1,062,400	
CJE9: Eliminate intercompany payable and receivable					
Dr Intercompany payable		200,000			

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Cr Intercompany receivable			200,000		
EA1: Recognize share of post-acq RE of Z					
Dr Investment in Z		36,480			
Cr Opening RE			36,480		
RE of Z as at 1 Jan 20x5			560,000		
RE of Z as at date of acquisition			400,000		
Change in RE			160,000		
Less past amortization of intangible asset (after-tax)			-38,400	(240K/5)*80%	
Adjusted change in RE			121,600		
Share of Z's change in RE@30%			36,480		
EA2: Reclassify dividend income as a reduction of investment					
Dr Dividend income from associate		18,000			
Cr Investment in Z			18,000	(30%*60,000)	
EA3: Recognize share of current profit after tax of Z					
Dr Investment in Z		137,040			
Cr Share of profit of Z			137,040		
Dr Investment in Z		137,040			
Dr Share of tax of Z		26,760	(30%*89,200 below)		
Cr Share of profit of Z			163,800	(30%*546,000 below)	
NPBT			600,000		
Less unrealized profit			-8,000	Given	
Add realization through depreciation			2,000	Below	
Less amortization of intangible asset (fair value adjustment)			-48,000	(240,000/5)	
Adjusted NPBT of Z			546,000		
Tax expense of Z			100,000		
Less tax on unrealized profit and depreciation			-1,200	20%*-6000	
Less tax on amortization of intangible asset			-9,600		
Adjusted tax expense of Z			89,200		
Depreciation before transfer				72,000	(360,000/5)
Depreciation after transfer				74,000	(296,000/4)
Annual over-depreciation to be corrected				-2,000	
Part 2: See worksheets attached					
Part 3: Analytical check of Non-controlling Interests:					
Book value of net assets of Y Co as at 31 Dec 20x5			2,660,000		
Adjustment for unrealized gain on inventory (after-tax)			-12,800	(80%*10%*160,000)	
Adjusted net assets as at 31 Dec 20x5			2,647,200		
NCI's share			264,720		
Goodwill attributable to NCI			42,000		
			306,720		
CJE1: NCI at date of acquisition			200,000		
CJE2: Adjustment for sale of under-valued inventory			-10,000		
CJE3: Tax effects of CJE2			2,000		
CJE4: Adjustment for unrealized profit at start of year			-14,400		
CJE5: Adjustment for tax on unrealized profit at start of year			2,880		
CJE6: Share of post-acq RE			40,000		
CJE7: Dividends received			-20,000		
CJE8: Allocate share of current income to NCI			106,240		

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NCI balance as at 31 Dec 20x5			306,720		
Analytical check of Investment in Z:					
Book value of shareholders' equity of Z				1,200,000	
Less undepreciated profit on sale of fixed asset as at end of 20x5, after-tax				-4,800	(8K-2K)*0.8
Unamortized balance of intangible asset (fair value adjustment) after-tax				115,200	(240K-96K)*80%
				1,310,400	
P's share of Z's identifiable net assets				393,120	
Implicit goodwill in investment in Z:					
Investment in Z			600,000		
BV of net assets of Z at acq		600,000			
Intangible asset (after-tax)		192,000			
FV of net assets of Z at acq		792,000			
Less Share of FV of net assets of Z at acq			237,600		
Goodwill in Z implicit in the investment in Z				362,400	
				755,520	
Investment in Z, at cost				600,000	
EA1: Recognize share of post-acq RE of Z				36,480	
EA2: Reclassify dividend income as a reduction of investment				-18,000	
EA3: Recognize share of current profit after tax of Z				137,040	
Investment in Z as at 31 Dec 20x5				755,520	

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Income Statement for year ended 31 December 20x5							
			P Co	**Y Co**	**Dr**	**Cr**	**Total**
Profit before tax (including dividend income)			3,000,000	1,200,000	180,000	128,000	4,267,040
					18,000	137,040	
Tax			(600,000)	(240,000)	25,600		(865,600)
Profit after tax			2,400,000	960,000			3,401,440
Dividends declared			(300,000)	(200,000)		200,000	(300,000)
Profit retained			2,100,000	760,000			3,101,440
Income to NCI					106,240		(106,240)
Retained earnings, 1 Jan 20x5			1,000,000	900,000	500,000	36,480	1,220,800
					90,000	25,920	
					40,000	18,000	
					129,600		
Retained earnings, 31 Dec 20x5			3,100,000	1,660,000	1,089,440	545,440	4,216,000

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Statement of Financial Position as at 31 December 20x5	P Co	Y Co		Dr	Cr	Total
Fixed assets, net book value	3,200,000	1,500,000		0		4,700,000
Goodwill				520,000		520,000
Investment in Y Co, at cost	1,900,000				1,900,000	
Investment in Z Co, at cost	600,000			36,480	18,000	755,520
				137,040		
Deferred tax				3,200		3,200
Inventory	800,000	600,000		100,000	100,000	1,384,000
					16,000	
Intercompany receivable		200,000			200,000	0
Accounts receivable	530,000	300,000				830,000
Cash	20,000	80,000				100,000
	7,050,000	2,680,000		796,720	2,234,000	8,292,720

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	P Co	Y Co		Dr	Cr	Total
Accounts payable	2,750,000	20,000				2,770,000
Deferred tax liability				20,000	20,000	0
Intercompany payable	200,000			200,000		0
Share capital	1,000,000	1,000,000		1,000,000		1,000,000
Retained earnings	3,100,000	1,660,000		1,089,440	545,440	4,216,000
Non-controlling interests				10,000	200,000	306,720
					2,000	
				20,000	40,000	
				14,400	2,880	
					106,240	
	7,050,000	2,680,000		2,353,840	916,560	8,292,720
				3,150,560	3,150,560	

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CJE1: Elimination of investment in Y Co						
Dr Share capital		500,000				
Dr Retained earnings		700,000				
Dr Inventory		100,000				
Dr Goodwill		260,000				
Cr Deferred tax liability			20,000			
Cr Investment in Y Co			1,400,000			
Cr Non-controlling interests			140,000			
		1,560,000	1,560,000			
Goodwill atttributed to P Co		248,000	=1400000-90%*(1300000-20000)			
Goodwill atttributed to NCI		12,000	=140000-10%*(1300000-20000)			
		260,000				
CJE2: Sale of under-valued inventory						
Dr Opening RE		90,000				
Dr Non-controlling interests		10,000				
Cr Inventory			100,000			
CJE3: Tax on sale of under-valued inventory						
Dr Deferred tax liability		20,000				
Cr Opening RE			18,000			
Cr Non-controlling interests			2,000			
CJE4: Adjustment for unrealized profit on upstream transfer in opening RE						
Dr Opening RE		43,200				
Dr Non-controlling interest		4,800				
Cr Cost of sales			36,000			
Cr Inventory			12,000			
CJE5: Adjustment for tax on unrealized profit on CJE4						
Dr Tax expense		7,200				
Dr Deferred tax asset		2,400				
Cr Opening RE			8,640			
Cr Non-controlling interests			960			
CJE6: Allocate share of post-acq RE to NCI						
Dr Opening RE		10,000				
Cr NCI (BS)			10,000			
RE at 1 Jan 20x6				800,000		
RE at date of acquisition				700,000		
Change in RE				100,000		
NCI's share				10,000		
CJE7: Eliminate dividends declared by Y Co						
Dr Dividend income		108,000				
Dr Non-controlling interests		12,000				
Cr Dividend declared			120,000			
CJE8: Allocate share of current income to NCI						
Dr Income to NCI		98,880				
Cr NCI (BS)			98,880			
NPAT of Y Co				960,000		
Add realized sale on inventory				36,000		
Less tax on gain on realized sale				-7,200		
Adjusted NPAT				988,800		
CJE9: Adjustment for downstream sale of inventory						
Dr Sales (P)		100,000				

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Dr Inventory			4,000				
Cr Cost of Sales (P&S)				104,000			
CJE10: Adjustment for tax effects on CJE9							
Dr Tax expense			800				
Cr Deferred tax liability				800			
CJE11: Eliminate intercompany payable and receivable							
Dr Intercompany payable			40,000				
Cr Intercompany receivable				40,000			
CJE12: Eliminate intercompany interest expense and interest income							
Dr Interest income (P)			1,500				
Cr Interest expense (S)				1,500			
EA1: Recognize share of post-acq RE of Z							
Dr Investment in Z			90,000				
Cr Opening RE				90,000			
RE of Z as at 1 Jan 20x6				700,000			
RE of Z as at date of acquisition				400,000			
Change in RE				300,000			
Share of Z's change in RE				90,000			
EA2: Recognize share of past amortization of intangible asset (after-tax)							
Dr Opening RE			14,400	30%*300000/5*80%			
Cr Investment in Z				14,400			
EA3: Reclassify dividend income as a reduction of investment							
Dr Dividend income			30,000				
Cr Investment in Z				30,000			
EA4: Recognize share of current profit after tax of Z							
Dr Investment in Z			106,560				
Cr Share of profit of Z				106,560			
Alternatively:							
Dr Investment in Z			106,560				
Dr Share of tax of Z			19,140				
Cr Share of profit of Z				125,700			
NPBT				500,000	Transfer price		172,000
Less unrealized profit				-28,000	Cost	180,000	
Add realization through depreciation				7,000	Acc Dep	-36,000	144,000
Less amortization of intangible asset				-60,000	Unrealized profit		28,000
Adjusted NPBT of Z				419,000			
Tax expense of Z				80,000			
Less tax on unrealized profit and depreciation				-4,200			
Less tax on amortization of intangible asset				-12,000			
Adjusted tax expense of Z				63,800			
Depreciation before transfer				36,000			
Depreciation after transfer				43,000			
Annual over-depreciation to be corrected (20x6)				-7,000			

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Analytical check of Non-controlling Interests:					
Book value of net assets as at 31 Dec 20x6			2,140,000		
Adjustment for unrealized gain on inventory (after-tax)			-9,600		
Adjusted net assets as at 31 Dec 20x6			2,130,400		
NCI's share at 10%			213,040		
NCI's goodwill			12,000		
			225,040		
CJE1: NCI at date of acquisition			140,000		
CJE2: Adjustment for sale of under-valued inventory			-10,000		
CJE3: Adjustment for tax on sale of under-valued inventory			2,000		
CJE4: Adjustment for unrealized profit at start of year			-4,800		
CJE5: Adjustment for tax on unrealized profit at start of year			960		
CJE6: Share of post-acq RE			10,000		
CJE7: Dividends received			-12,000		
CJE8: Allocate share of current income to NCI			98,880		
NCI balance as at 31 Dec 20x6			225,040		
Analytical check of Investment in Z:					
Book value of shareholders' equity of Z			1,220,000		
Less unrealized profit as at end of 20x6 (after depreciation) after-tax			-16,800		
Unamortized balance of intangible asset (after-tax)			144,000		
			1,347,200		
P's share of Z's identifiable net assets			404,160		
Implicit goodwill in investment in Z:					
Investment in Z		500,000			
BV of net assets of Z at acq	600,000				
Unrecognized intangible (after-tax)	240,000				
FV of net assets of Z at acq	840,000				
Less Share of FV of net assets of Z at acq		252,000			
Goodwill in Z implicit in the investment in Z			248,000		
			652,160		
Investment in Z, at cost			500,000		
EA1: Share of post-acq RE			90,000		
EA2: Past amortization of intangible asset			-14,400		
EA3:Dividend received			-30,000		
EA4:Share of current profit after tax			106,560		
Investment in Z as at 31 Dec 20x6			652,160		

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Income Statement for year ended 31 December 20x6					
	P Co	**Y Co**	**Dr**	**Cr**	**Total**
Profit before tax	2,800,000	1,200,000	108,000	36,000	4,008,560
			30,000	106,560	
			100,000	104,000	
			1,500	1,500	
Tax	-560,000	-240,000	7,200		-808,000
			800		
Profit after tax	2,240,000	960,000			3,200,560
Dividends declared	-200,000	-120,000		120,000	-200,000
Profit retained	2,040,000	840,000			3,000,560
Income to NCI			98,880		-98,880
Retained earnings, 1 Jan 20x6	2,800,000	800,000	700,000	90,000	2,859,040
			90,000	18,000	
			10,000	8,640	
			43,200		
			14,400		
Retained earnings, 31 Dec 20x6	4,840,000	1,640,000	1,203,980	484,700	5,760,720
SFP as at 31 Dec 20x6	**P Co**	**Y Co**	**Dr**	**Cr**	**Total**
Fixed assets, net book value	2,340,000	1,000,000			3,340,000
Goodwill			260,000		260,000
Investment in Y Co, at cost	1,400,000			1,400,000	
Investment in Z Co, at cost	500,000		90,000	30,000	652,160
			106,560	14,400	
Deferred tax			2,400	800	1,600
Inventory	560,000	550,000	100,000	100,000	1,102,000
			4,000	12,000	
Intercompany receivable		40,000		40,000	0
Accounts receivable	1,200,000	800,000			2,000,000
Cash	30,000	100,000			130,000
	6,030,000	2,490,000	562,960	1,597,200	7,485,760
Accounts payable	100,000	350,000			450,000
Amount owing to Z Co	40,000				40,000
Intercompany payable	50,000		40,000		10,000
Deferred tax liability			20,000	20,000	0
Share capital	1,000,000	500,000	500,000		1,000,000
Retained earnings	4,840,000	1,640,000	1,203,980	484,700	5,760,720
Non-controlling interests			10,000	140,000	225,040
				2,000	
			12,000	10,000	
			4,800	960	
				98,880	
	6,030,000	2,490,000	1,790,780	756,540	7,485,760
			2,353,740	2,353,740	

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CJE1: Elimination of investment in Y Co							
Dr Share capital			800,000				
Dr Retained earnings			900,000				
Dr Inventory			100,000				
Dr Goodwill			610,000				
Cr Deferred tax liability				20,000			
Cr Investment in Y Co				2,200,000			
Cr Non-controlling interests				190,000			
			2,410,000	2,410,000			
Fair value paid by P Co			2,200,000				
Fair value attributable to NCI			190,000				
Goodwill attributable to P Co			598,000	2200000-90%*(1800000-20000)			
Goodwill attributable to NCI			12,000	190000-10%*(1800000-20000)			
			610,000				
CJE2: Sale of under-valued inventory							
Dr Opening RE			90,000				
Dr Non-controlling interests			10,000				
Cr Inventory				100,000			
CJE3: Tax on sale of under-valued inventory							
Dr Deferred tax liability			20,000				
Cr Opening RE				18,000			
Cr Non-controlling interests				2,000			
CJE4: Adjustment for unrealized profit on transfer of fixed assets from prior year							
Reinstate to original cost and accumulated depreciation prior to transfer							
Dr Opening RE			16,200				
Dr Non-controlling interests			1,800				
Dr Fixed assets			18,000				
Cr Accumulated depreciation				36,000			
			Shd be	What is	Adjustmt		
Fixed assets, cost			180,000	162,000	18,000		
Accumulated depreciation			(36,000)	0	(36,000)		
Net book value			144,000	162,000	(18,000)		
CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets							
Dr Deferred tax asset			3,600				
Cr Opening RE				3,240			
Cr Non-controlling interests				360			
CJE6: Adjustment of past and current depreciation on transferred fixed asset							
Dr Accumulated depreciation			8,000				
Cr Depreciation				4,000			
Cr Opening RE				3,600			
Cr Non-controlling interests				400			
Depreciation before transfer					32,000		
Depreciation after transfer					36,000		
Annual over-depreciation to be corrected					(4,000)		
Alternatively:							
Unrealized profit					18,000		
Remaining useful life					5		
Excess depreciation					4,000		

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CJE7: Tax effects on CJE6						
Dr Tax expense		800				
Dr Opening RE		720				
Dr Non-controlling interests		80				
Cr Deferred tax asset			1,600			
CJE8: Allocate share of post-acq RE to NCI						
Dr Opening RE		30,000				
Cr NCI (BS)			30,000			
RE at 1 Jan 20x6				1,200,000		
RE at date of acquisition				900,000		
Change in RE				300,000		
NCI's share				30,000		
CJE9: Eliminate dividends declared by Y Co						
Dr Dividend income		270,000				
Dr Non-controlling interests		30,000				
Cr Dividend declared			300,000			
CJE10: Allocate share of current income to NCI						
Dr Income to NCI		144,320				
Cr NCI (BS)			144,320			
NPAT of Y Co				1,440,000		
Add depreciation on gain on sale of FA				4,000		
Less tax expense on gain on sale of FA				(800)		
Adjusted NPAT				1,443,200		
CJE11: Elimination of downstream sale						
Dr Sales		50,000				
Cr Cost of Sales			50,000			
CJE12: Eliminate intercompany payable and receivable						
Dr Intercompany payable		100,000				
Cr Intercompany receivable			100,000			
EA1: Recognize share of post-acq RE of Z						
Dr Investment in Z		90,000				
Cr Opening RE			90,000			
RE of Z as at 1 Jan 20x6			700,000			
RE of Z as at date of acquisition			400,000			
Change in RE			300,000			
Share of Z's change in RE			90,000			
EA2: Adjustment of unrealized profit from 20x5						
Dr Opening RE		5,760				
Cr Investment in Z			5,760			
EA3: Reclassify dividend income as a reduction of investment						
Dr Dividend income		30,000				
Cr Investment in Z			30,000			
EA4: Recognize share of current profit after tax of Z						
Dr Investment in Z		168,720				
Cr Share of profit of Z			168,720			
Alternatively:						
Dr Investment in Z		168,720				

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Dr Share of tax of Z		46,680				
Cr Share of profit of Z			215,400			
NPBT			600,000			
Add back contingent liability expense			100,000			
Add realized profit from intercompany transfer			18,000			
Adjusted NPBT of Z			718,000			
Tax expense of Z			132,000			
Add tax on write back of contingent liability exp.			20,000			
Add tax on realized profit			3,600			
Adjusted tax of Z			155,600			
Part (2): Analytical check of Non-controlling Interests:						
Book value of net assets as at 31 Dec 20x6				3,140,000		
Adjustment for unrealized gain on FA (after-tax)				(8,000)		
Adjusted net assets as at 31 Dec 20x6				3,132,000		
NCI's share				313,200		
NCI's goodwill				12,000		
				325,200		
CJE1: NCI at date of acquisition				190,000		
CJE2: Adjustment for sale of under-valued inventory				(10,000)		
CJE3: Adjustment for tax on sale of under-valued inventory				2,000		
CJE4: Adjustment for unrealized profit on FA transfer				(1,800)		
CJE5: Tax on unrealized profit on FA transfer				360		
CJE6: Adjustment for past depreciation on FA				400		
CJE7: Adjustment for tax effects on past depreciation				(80)		
CJE8: Share of post-acq RE				30,000		
CJE9: Dividends received				(30,000)		
CJE10: Allocate share of current income to NCI				144,320		
NCI balance as at 31 Dec 20x6				325,200		
Analytical check of Investment in Z:						
Book value of shareholders' equity of Z				1,268,000		
Less unrealized profit as at end of 20x6				(4,800)		
Fair value adjustments				0		
				1,263,200		
P's share of Z's identifiable net assets				378,960		
Implicit goodwill in investment in Z:						
Investment in Z			800,000			
BV of net assets of Z at acq		600,000				
Contingent liability (after-tax)		(80,000)				
FV of net assets of Z at acq		520,000				
Less Share of FV of net assets of Z at acq			156,000			
Goodwill in Z implicit in the investment in Z				644,000		
				1,022,960		
Investment in Z, at cost				800,000		
EA1: Share of post-acq RE				90,000		
EA2: Unrealized profit in opening RE				(5,760)		
EA3:Dividend received				(30,000)		
EA4:Share of current profit after tax				168,720		
Investment in Z as at 31 Dec 20x6				1,022,960		

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Part 3 (Worksheets): Income Statement for year ended 31 December 20x6						
	P Co	**Y Co**	**Dr**	**Cr**	**Total**
Profit before tax	4,200,000	1,800,000	270,000	4,000	5,872,720
			30,000	168,720	
			50,000	50,000	
Tax	(840,000)	(360,000)	800		(1,200,800)
Profit after tax	3,360,000	1,440,000			4,671,920
Dividends declared	(400,000)	(300,000)		300,000	(400,000)
Profit retained	2,960,000	1,140,000			4,271,920
Income to NCI			144,320		(144,320)
Retained earnings, 1 Jan 20x6	1,200,000	1,200,000	900,000	90,000	1,472,160
			90,000	3,600	
			30,000	3,240	
			16,200	18,000	
			720		
			5,760		
Retained earnings, 31 Dec 20x6	4,160,000	2,340,000	1,537,800	637,560	5,599,760
SFP as at 31 Dec 20x6	**P Co**	**Y Co**	**Dr**	**Cr**	**Total**
Fixed assets, net book value	2,800,000	2,200,000	18,000	36,000	4,990,000
			8,000		
Goodwill			610,000		610,000
Investment in Y Co, at cost	2,200,000			2,200,000	
Investment in Z Co, at cost	800,000		90,000	30,000	1,022,960
			168,720	5,760	
Deferred tax			3,600	1,600	2,000
Inventory	760,000	500,000	100,000	100,000	1,260,000
Intercompany receivable		100,000		100,000	0
Amount due from Z Co	60,000				60,000
Accounts receivable	600,000	700,000			1,300,000
Cash	45,000	100,000			145,000
	7,265,000	3,600,000	998,320	2,473,360	9,389,960
Accounts payable	1,805,000	460,000			2,265,000
Intercompany payable	100,000		100,000		0
Deferred tax liability			20,000	20,000	0
Share capital	1,200,000	800,000	800,000		1,200,000
Retained earnings	4,160,000	2,340,000	1,537,800	637,560	5,599,760
Non-controlling interests			10,000	190,000	325,200
			1,800	2,000	
			30,000	30,000	
			80	144,320	
				360	
				400	
	7,265,000	3,600,000	2,499,680	1,024,640	9,389,960
			3,498,000	3,498,000	

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Explanatory note on unrealized loss that is an impairment loss							
P's books:							
Dr Cost of Sales		60,000					
Cr Inventory			60,000				
Dr Amount due from Y		50,000					
Cr Sales			50,000				
S's books:							
Dr Cost of Sales		45,000					
Cr Inventory			45,000				
Consolidation:							
Unrealized sale							
Dr Sales		5,000					
Cr Cost of Sales			5,000	(not 6000)			
(do not remove the impairment loss of $1K in inventory)							
Realized sale							
Dr Sales		45,000					
Cr Cost of Sales			45,000				
Combined effect							
Dr Sales		50,000					
Cr Cost of Sales			50,000				

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PART 1. Consolidation and Equity Accounting Entries for the year ended 31 Dec 20x6							
CJE1: Elimination of investment in Y Co							
Dr Share capital			500,000				
Dr Retained earnings			600,000				
Dr Goodwill			260,000				
Dr Deferred tax asset			10,000				
Cr Provision for impairment losses/AR				50,000			
Cr Investment in Y Co				1,200,000			
Cr Non-controlling interests				120,000			
			1,370,000	1,370,000			
Fair value of Y Co as entity			1,320,000				
Fair value paid by P Co			1,200,000				
Fair value attributable to NCI			120,000				
Goodwill attributable to P Co			246,000				
Goodwill attributable to NCI			14,000				
			260,000				
CJE2: Write-off of impaired accounts receivable							
Dr Provision for impairment losses			50,000				
Cr Opening retained earnings				45,000			
Cr Non-controlling interests				5,000			
CJE3: Tax effects of write-off of impaired accounts receivable							
Dr Opening retained earnings			9,000				
Dr Non-controlling interests			1,000				
Cr Deferred tax asset				10,000			
CJE4: Adjustment for unrealized profit on transfer of fixed assets							
Reinstate to original cost and accumulated depreciation prior to transfer							
Dr Gain on sale			80,000				
Cr Fixed assets				20,000			
Cr Accumulated depreciation				60,000			
			Shd be	What is	Adjustmt		
Fixed assets, cost			100,000	120,000	-20,000		
Accumulated depreciation			-60,000	0	-60,000		
Net book value			40,000	120,000	-80,000		
CJE5: Adjustment for tax on unrealized profit on transfer of fixed assets							
Dr Deferred tax asset			16,000				
Cr Tax expense				16,000			
CJE6: Adjustment of current depreciation on transferred fixed asset							
Dr Accumulated depreciation			40,000				
Cr Depreciation				40,000			
Depreciation before transfer					20,000		
Depreciation after transfer					60,000		
Annual over-depreciation to be corrected (20x4&20x6)					-40,000		
CJE7: Tax effects on CJE6							
Dr Tax expense			8,000				
Cr Deferred tax asset				8,000			

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CJE8: Allocate share of post-acq RE to NCI						
Dr Opening RE		20,000				
Cr NCI (BS)			20,000			
RE at 1 Jan 20x6				800,000		
RE at date of acquisition				600,000		
Change in RE				200,000		
NCI's share				20,000		
CJE9: Eliminate dividends declared by Y Co						
Dr Dividend income		126,000				
Dr Non-controlling interests		14,000				
Cr Dividend declared			140,000			
CJE10: Allocate share of current income to NCI						
Dr Income to NCI		68,800				
Cr NCI (BS)			68,800			
NPAT of Y Co				720,000		
Less Gain on sale of FA				-80,000		
Add tax on gain on sale of FA				16,000		
Add depreciation on gain on sale of FA				40,000		
Less tax expense on gain on sale of FA				-8,000		
Adjusted NPAT				688,000		
CJE11: Elimination of sale from P Co to Y Co						
Dr Sales		120,000				
Dr Inventory		9,000				
Cr Cost of Sales			129,000			
CJE12: Tax effects of CJE11						
Dr Tax expense		1,800				
Cr Deferred tax liability			1,800			
CJE13: Elimination of intercompany payable and receivable						
Dr Intercompany payable		40,000				
Cr Intercompany receivable			40,000			
EA1: Recognize share of post-acq RE of Z						
Dr Investment in Z		30,000				
Cr Opening RE			30,000			
RE of Z as at 1 Jan 20x6			500,000			
RE of Z as at date of acquisition			400,000			
Change in RE			100,000			
Share of Z's change in RE			30,000			
EA2: Recognize past cost of sales of undervalued inventory (after-tax)						
Dr Opening RE		12,000				
Cr Investment in Z			12,000			
(This is a combined entry. Alternatively, an entry each for the profit						
and tax adjustments can be passed.)						
EA3: Adjust unrealized profit from past transfer						
Dr Opening RE		3,840				
Cr Investment in Z			3,840			
EA4: Reclassify dividend income as a reduction of investment						
Dr Dividend income		24,000				

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Cr Investment in Z			24,000			
EA5: Recognize share of current profit after tax of Z						
Dr Investment in Z		183,840				
Cr Share of profit of Z			183,840			
Dr Investment in Z		183,840				
Dr Share of tax of Z		30,960				
Cr Share of profit of Z			214,800			
NPBT			700,000			
Add realized profit from sale of inventory			16,000			
Adjusted NPBT of Z			716,000			
Tax expense of Z			100,000			
Add tax on realized profit from inventory sale			3,200			
Adjusted tax expense of Z			103,200			
PART 2: Analytical check on Non-controlling Interests:						
Book value of net assets as at 31 Dec 20x6				1,880,000		
Adjustment for unrealized gain on FA (after-tax)				-32,000		
Adjusted net assets as at 31 Dec 20x6				1,848,000		
NCI's share				184,800		
NCI's goodwill				14,000		
				198,800		
CJE1: NCI at date of acquisition				120,000		
CJE2: Adjustment for impairment loss on AR				5,000		
CJE3: Adjustment for tax effects on impairment loss				-1,000		
CJE8: Share of post-acq RE				20,000		
CJE9: Dividends received				-14,000		
CJE10: Allocate share of current income to NCI				68,800		
NCI balance as at 31 Dec 20x6				198,800		
PART 2: Analytical check on Investment in Z:						
Book value of shareholders' equity of Z				1,320,000		
Excess of FV over BV of inventory				0		
				1,320,000		
P's share of Z's identifiable net assets				396,000		
Implicit goodwill in investment in Z:						
Investment in Z			300,000			
BV of net assets of Z at acq		700,000				
Under-valued inventory, after-tax		40,000				
FV of net assets of Z at acq		740,000				
Less Share of FV of net assets of Z at acq			222,000			
Goodwill in Z implicit in the investment in Z				78,000		
				474,000		
Investment in Z, at cost				300,000		
EA1: Share of post-acq RE				30,000		
EA2:Adjustment for past COS on undervalued inventory				-12,000		
EA3:Adjustment for unrealized profit from prior-year				-3,840		
EA4:Dividend received				-24,000		
EA5:Share of current profit after tax				183,840		
Investment in Z as at 31 Dec 20x6				474,000		

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PART 3: Analytical check on Consolidated Retained Earnings as at 31 December 20x6						
Reconciliation						
P's RE					2,600,000	
P's share of Y's post-acquisition RE					702,000	
P's share of Z's post-acquisition RE					186,000	
P's share of reversal of impairment loss of Y					36,000	50000*80%*90%
P's share of cost of sales of undervalued inventory of Z					(12,000)	50000*80%*30%
P's unrealized loss on downstream sale					7,200	30000*30%*80%
P's share of unrealized profit on upstream sale					(28,800)	80000/2*80%*90%
					3,490,400	
Listings per worksheet (see below)					3,490,400	
PART 4: Consolidation Worksheets						
Income Statement for year ended 31 December 20x6						
		P Co	**Y Co**	**Dr**	**Cr**	**Total**
Profit before tax		2,500,000	900,000	80,000	40,000	3,402,840
				126,000	129,000	
				120,000	183,840	
				24,000		
Tax		-500,000	-180,000	8,000	16,000	-673,800
				1,800		
Profit after tax		2,000,000	720,000			2,729,040
Dividends declared		-300,000	-140,000		140,000	-300,000
Profit retained		1,700,000	580,000			2,429,040
Income to NCI				68,800		-68,800
Retained earnings, 1 Jan 20x6		900,000	800,000	600,000	45,000	1,130,160
				9,000		
				20,000	30,000	
				12,000		
				3,840		
Retained earnings, 31 Dec 20x6		2,600,000	1,380,000	1,073,440	583,840	3,490,400

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SFP as at 31 Dec 20x6	P Co	Y Co	Dr	Cr	Total
Fixed assets, net book value	2,500,000	1,250,000	40,000	20,000	3,710,000
				60,000	
Goodwill			260,000		260,000
Investment in Y Co, at cost	1,200,000			1,200,000	
Investment in Z Co, at cost	300,000		30,000	12,000	474,000
			183,840	24,000	
				3,840	
Intercompany receivable		40,000		40,000	0
Amount due from Z Co	30,000				30,000
Deferred tax asset			16,000	8,000	8,000
			10,000	10,000	
Inventory	750,000	500,000	9,000		1,259,000
Accounts receivable	420,000	150,000	50,000	50,000	570,000
Cash	50,000	100,000			150,000
	5,250,000	2,040,000	598,840	1,427,840	6,461,000
Accounts payable	1,610,000	160,000			1,770,000
Intercompany payable	40,000		40,000		0
Deferred tax liability				1,800	1,800
Share capital	1,000,000	500,000	500,000		1,000,000
Retained earnings	2,600,000	1,380,000	1,073,440	583,840	3,490,400
Non-controlling interests			1,000	120,000	198,800
				5,000	
			14,000	20,000	
				68,800	
	5,250,000	2,040,000	1,628,440	799,440	6,461,000
			2,227,280	2,227,280	

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Part (1): Consolidation entries for 20x6					
CJE1: Elimination of investment in Silver Co					
Dr Share capital		400,000			
Dr Retained earnings		520,000			
Dr Intangible assets		280,000			
Dr Goodwill		796,000			
Cr Deferred tax liability			56,000		
Cr Investment in Silver Co			1,760,000		
Cr Non-controlling interests			180,000		
		1,996,000	1,996,000		
CJE2: Past impairment loss to opening RE and current amortization of intangible asset					
Dr Opening RE		199,800	90%*((280000/20*3)+180000)		
Dr Non-controlling interests		22,200	10%*((280000/20*3)+180000)		
Dr Amortization		3,412	(160000-102000)/17		
Cr Accumulated amortization			225,412		
	Legal	Economic			
Carrying amount	102,000	340,000			
Recoverable amount as at 31 December 20x5	160,000	160,000	(Higher of FV and Value In Use)		
Impairment loss	0.00	180,000			
Revised carrying amount on 1 Jan 20x6	102,000	160,000			
Remaining useful life 1 Jan 20x6	17	17			
Revised amortization	6,000	9,412			
CJE3: Tax effects of CJE2					
Dr Deferred tax liability		45,082	20%*225412		
Cr Opening RE			39,960		
Cr Non-controlling interests			4,440		
Cr Tax expense			682		
CJE4: Adjustment of unrealized profit on transfer of equipment					
Dr Opening RE		36,000	90%*40000		
Dr NCI		4,000	10%*40000		
Cr Fixed assets			40,000		
		40,000	40,000		
Workings					
Transfer price invoiced by Silver Co to Prism Co		31/12/20x4		240,000	
Original cost			200,000		
Net book value				200,000	
Profit on sale				40,000	
Original useful life as at 1 Jan 20x5				10.00	
Excess depreciation during 20x6		40000/10		4,000	
CJE5: Adjustment for tax on unrealized profit on transfer of equipment					
Dr Deferred tax asset		8,000	20%*40000		
Cr Opening RE			7,200	20%*36000	
Cr NCI			800	20%*4000	
CJE6: Adjustment for excess depreciation on transferred equipment					

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Dr Accumulated depreciation		8,000			
Cr Opening RE			3,600	90%*40000*1/10	
Cr NCI			400	10%*40000*1/10	
Cr Depreciation			4,000	CJE4 workings	
CJE7: Tax effects of CJE6					
Dr Opening RE		720			
Dr NCI		80			
Dr Tax expense		800			
Cr Deferred tax asset			1,600		
CJE8: Allocate share of post-acq RE to NCI					
Dr Opening RE		8,000			
Cr NCI (BS)			8,000		
RE at 1 Jan 20x6			600,000		
RE at date of acquisition			520,000		
Change in RE			80,000		
NCI's share			8,000		
CJE9: Eliminate dividends declared by Silver Co					
Dr Dividend income		90,000			
Dr Non-controlling interests		10,000			
Cr Dividend declared			100,000		
CJE10: Allocate share of current income to NCI					
Dr Income to NCI		104,047			
Cr NCI (BS)			104,047		
NPAT of Silver Co				1,040,000	
Less amortization				(3,412)	
Add tax on amortization				682	
Add excess depreciation on equipment				4,000	
Less tax on excess depreciation on equipment				(800)	
Adjusted NPAT				1,040,471	
CJE11: Elimination of intercompany balances					
Dr Amount due to Silver Co		120,000			
Cr Amount due from Prism Co			120,000		
CJE12: Elimination downstream sales					
Dr Sales		50,000			
Dr Inventory		9,000			
Cr Cost of sales			59,000		
	Legal	Economic	Difference		
	entity	entity			
OC	45,000	67,500			
NRV	54,000	54,000			
LCNRV	45,000	54,000	9,000		
CJE13: Tax effects of CJE12					
Dr Tax expense		1,800			

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Cr DTL				1,800		
Part (2): Equity accounting entries for 20x6						
EA1: Recognition of share of post-acq RE of Amber						
Dr Investment in Amber			24,000			
Cr Opening RE				24,000		
RE of Amber as at 1 Jan 20x6				900,000		
RE of Amber as at date of acquisition				820,000		
Change in RE				80,000		
Share of Amber's change in RE				24,000		
EA2: Adjust expense on provision for environmental damages						
Dr Investment in Amber			43,200	80%*30%*180000		
Cr Opening RE				43,200		
EA3: Adjust for unrealized profit on inventory						
Dr ORE			6,720	70%*30%*80%*40000		
Cr Investment in Amber				6,720		
EA4: Recognize share of OCI						
Dr Investment in Amber			9,000			
Dr Share of current OCI			6,000			
Cr Opening OCI				15,000		
EA5: Reclassify dividend income as a reduction of investment						
Dr Dividend income			36,000			
Cr Investment in Amber				36,000	30%*120000	
EA7: Recognize share of current profit after tax of Amber						
Dr Investment in Amber			442,680			
Cr Share of profit of Amber				442,680		
Alternatively:						
Dr Investment in Amber			442,680			
Dr Share of tax of Amber			117,420			
Cr Share of profit of Amber				560,100		
Profit before tax of Amber				1,800,000		
Add expense of environmental damages				40,000		
Add realized profit on transferred inventory				24,000		
Add back excess impairment loss on transferred inventory				3,000		
Adjusted profit before tax of Amber				1,867,000		
Share of adjusted profit before tax of Amber				560,100		
Tax expense of Amber				378,000		
Add tax on expense on environmental damages				8,000		
Add tax on realized profit on transferred inventory				4,800		
Add tax on excess impairment loss on transferred inventory				600		

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Adjusted tax of Amber				391,400		
Share of adjusted tax of Amber				117,420		
Realized profit on transferred inventory		60% sold		24,000		
				60%*(120000-80000)		
			Group	Legal entity	Difference	
Net realizable value at 31 Dec 20x6			9,000	9,000		
Cost			8,000	12,000		
Lower of cost and NRV			8,000	9,000		
Impairment loss			0	3,000	3,000	

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Part (3): Non-controlling interests as at 31 Dec 20x6					
Book value of net assets as at 31 Dec 20x6			1,940,000		
Remaining balance of intangible asset, after tax			43,671	Note 1	
Adjustment for unrealized profit in equipment, after tax			(25,600)	Note 2	
Adjusted net assets as at 31 Dec 20x6			1,958,071		
NCI's share of net assets			195,807		
NCI's share of goodwill			65,600	Note 3	
NCI balance as at 31 Dec 20x6			261,407		
	Note 1:	(160000-102000)*16/17*80%			
	Note 2:	40000*8/10*80%			
	Note 3:	180000-10%*(1200000-(20%*280000))			
CJE1: Elimination of investment in Silver Co			180,000		
CJE2: Past impairment loss to opening RE and current amortization of intangible asset			(22,200)		
CJE3: Tax effects of CJE2			4,440		
CJE4: Adjustment of unrealized profit on transfer of equipment			(4,000)		
CJE5: Adjustment for tax on unrealized profit on transfer of equipment			800		
CJE6: Adjustment for excess depreciation on transferred equipment			400		
CJE7: Tax effects of CJE6			(80)		
CJE8: Allocate share of post-acq RE to NCI			8,000		
CJE9: Eliminate dividends declared by Silver Co			(10,000)		
CJE10: Allocate share of current income to NCI			104,047		
NCI balance as at 31 Dec 20x6		0	261,407		

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Part (4): Analytical check of Investment in Amber:					
Book value of shareholders' equity of Amber					3,202,000
Less unrealized profit on unsold inventory, after tax					(800)
					3,201,200
P's share of Amber's identifiable net assets					960,360
Implicit goodwill in investment in Amber:					
Investment in Amber				900,000	
BV of net assets of Amber at acq			1,790,000		
Less provision for impairment loss			(176,000)		
FV of net assets of Amber at acq			1,614,000		
Less Share of FV of net assets of Amber at acq				484,200	
Goodwill in Amber implicit in the investment in Amber					415,800
					1,376,160
Investment in Amber, at cost					900,000
EA1: Recognition of share of post-acq RE of Amber					24,000
EA2: Adjust expense on provision for environmental damages					43,200
EA3: Adjust for unrealized profit on inventory					(6,720)
EA4: Recognize share of OCI					9,000
EA5: Reclassify dividend income as a reduction of investment					(36,000)
EA7: Recognize share of current profit after tax of Amber					442,680
Investment in Amber as at 31 Dec 20x6				0	1,376,160
PART (5): Analytical Check on Consolidated Retained Earnings					
P's RE					2,352,000
P's share of Silver's post-acq RE					918,000
P's share of Amber's post-acq RE					414,600
P's share of Silver's cumulative amortization of intangible asset, after tax					(162,296)
P's share of Amber's cumulative expensing of provision, after tax					52,800
P's share of unrealized profit in upstream sale of equipment, after tax					(23,040)
P's unrealized loss from downstream sales, after tax					7,200
P's share of unrealized profit in Amber, after tax					(240)
Consolidated Retained Earnings as at 31 Dec 20x6					3,559,024
P's RE					2,352,000
S' RE					1,540,000
CJE1: Elimination of investment in Silver Co					(520,000)
CJE2: Past impairment loss to opening RE and current amortization of intangible asset					(199,800)
CJE2: Past impairment loss to opening RE and current amortization of intangible asset					(3,412)
CJE3: Tax effects of CJE2					39,960
CJE3: Tax effects of CJE2					682
CJE4: Adjustment of unrealized profit on transfer of equipment					(36,000)
CJE5: Adjustment for tax on unrealized profit on transfer of equipment					7,200
CJE6: Adjustment for excess depreciation on transferred equipment					3,600
CJE6: Adjustment for excess depreciation on transferred equipment					4,000

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CJE7: Tax effects of CJE6					(720)	
CJE7: Tax effects of CJE6					(800)	
CJE8: Allocate share of post-acq RE to NCI					(8,000)	
CJE9: Eliminate dividends declared by Silver Co					10,000	
CJE10: Allocate share of current income to NCI					(104,047)	
CJE12: Elimination downstream sales					9,000	
CJE13: Tax effects of CJE12					(1,800)	
EA1: Recognition of share of post-acq RE of Amber					24,000	
EA2: Adjust expense on provision for environmental damages					43,200	
EA3: Adjust for unrealized profit on inventory					(6,720)	
EA5: Reclassify dividend income as a reduction of investment					(36,000)	
EA7: Recognize share of current profit after tax of Amber					442,680	
					3,559,024	
					0	

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Part (1): Consolidation entries for 20x6						
CJE1: Elimination of investment in Silver Co						
Dr Share capital			620,000			
Dr Retained earnings			520,000			
Dr Fixed assets			250,000			
Dr Goodwill			660,000			
Cr Deferred tax liability				50,000		
Cr Investment in Silver Co				1,820,000		
Cr Non-controlling interests				180,000		
			2,050,000	2,050,000		
CJE2: Past and current depreciation of undervalued fixed asset						
Dr Opening RE			33,750	90%*(250000/20*3)		
Dr Non-controlling interests			3,750			
Dr Depreciation			12,500	250000/20		
Cr Accumulated depreciation				50,000		
CJE3: Tax effects of CJE2						
Dr Deferred tax liability			10,000			
Cr Opening RE				6,750		
Cr Non-controlling interests				750		
Cr Tax expense				2,500		
CJE4: Adjustment of unrealized profit on transfer of intangible asset						
Dr Opening RE			63,000	90%*70000		
Dr NCI			7,000	10%*70000		
Cr Intangible assets				70,000		
			70,000	70,000		
Workings						
Transfer price invoiced by Silver Co to Prism Co					350,000	
Carrying amount at date of sale					280,000	
Profit on sale					70,000	
Original useful life as at 1 Jan 20x5					10.00	
Excess amortization during 20x6		70000/10			7,000	
CJE5: Adjustment for tax on unrealized profit on transfer of software						
Dr Deferred tax asset			14,000	20%*70000		
Cr Opening RE				12,600	20%*63000	
Cr NCI				1,400	20%*7000	
CJE6: Adjustment for excess amortization on transferred software						
Dr Accumulated amortization			27,333			
Cr Opening RE				19,800	Note 1	
Cr NCI				2,200	Note 2	
Cr Amortization				5,333	Note 3	
		Legal entity	Econ entity	Difference		
Carrying amount		315,000	252,000			
Recoverable amount		300,000	300,000			

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Adjusted carrying amount		300,000	252,000			
Impairment loss as at 31 Dec 20x5		15,000	0	15,000		
Amortization (20x6)		33,333	28,000	5,333	Note 3	
Note 1:	90%*((70000*1/10)+15000)					
Note 2:	10%*((70000*1/10)+15000)					
CJE7: Tax effects of CJE6						
Dr Opening RE			3,960			
Dr NCI			440			
Dr Tax expense			1,067			
Cr Deferred tax asset				5,467		
CJE8: Allocate share of post-acq RE to NCI						
Dr Opening RE			20,000			
Cr NCI (BS)				20,000		
RE at 1 Jan 20x6				720,000		
RE at date of acquisition				520,000		
Change in RE				200,000		
NCI's share				20,000		
CJE9: Eliminate dividends declared by Silver Co						
Dr Dividend income			90,000			
Dr Non-controlling interests			10,000			
Cr Dividend declared				100,000		
CJE10: Allocate share of current income to NCI						
Dr Income to NCI			98,967			
Cr NCI (BS)				98,967		
NPAT of Silver Co					995,400	
Less depreciation of undervalued fixed assets					(12,500)	
Add tax on depreciation of undervalued fixed asset					2,500	
Add excess amortization on software					5,333	
Less tax on excess amortization					(1,067)	
Adjusted NPAT					989,667	
CJE11: Elimination of intercompany balances						
Dr Amount due to Silver Co			150,000			
Cr Amount due from Prism Co				150,000		
CJE12: Elimination downstream sales						
Dr Inventory			667			
Dr Cost of sales			5,333			
Cr Opening RE				6,000		

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		Legal entity	Economic entity	Difference		
OC		72,000	85,500			
NRV		78,000	78,000			
LCNRV		72,000	78,000	6,000		
CJE13: Tax effects of CJE12						
Dr Opening RE			1,200			
Cr Tax expense				1,067		
Cr DTL				133		
Part (2): Equity accounting entries for 20x5						
EA1: Recognition of share of post-acq RE of Amber						
Dr Investment in Amber			54,000			
Cr Opening RE				54,000		
RE of Amber as at 1 Jan 20x6				850,000		
RE of Amber as at date of acquisition				670,000		
Change in RE				180,000		
Share of Amber's change in RE				54,000		
EA2: Adjust expense on provision for litigation loss						
Dr Investment in Amber			43,200	80%*30%*180000		
Cr Opening RE				43,200		
EA3: Adjust for unrealized profit on inventory						
Dr ORE			3,600	60%*30%*80%*25000		
Cr Investment in Amber				3,600		
EA4: Recognize share of OCI						
Dr Investment in Amber			12,000			
Dr Share of current OCI			3,000			
Cr Opening OCI				15,000		
EA5: Reclassify dividend income as a reduction of investment						
Dr Dividend income			42,000			
Cr Investment in Amber				42,000	30%*140000	
EA7: Recognize share of current profit after tax of Amber						
Dr Investment in Amber			422,988			
Cr Share of profit of Amber				422,988		
Alternatively:						
Dr Investment in Amber			422,988			
Dr Share of tax of Amber			112,122			
Cr Share of profit of Amber				535,110		

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Profit before tax of Amber			1,700,000		
Add litigation loss expense			70,000		
Add realized profit on transferred inventory			12,500		
Add back excess impairment loss on transferred inventory			1,200		
Adjusted profit before tax of Amber			1,783,700		
Share of adjusted profit before tax of Amber			535,110		
Tax expense of Amber			357,000		
Add tax on litigation loss expense			14,000		
Add tax on realized profit on transferred inventory			2,500		
Add tax on excess impairment loss on transferred inventory			240		
Adjusted tax of Amber			373,740		
Share of adjusted tax of Amber			112,122		
Realized profit on transferred inventory	50% sold		12,500		
			50%*(100000-75000)		
		Group	Legal entity	Difference	
Net realizable value at 31 Dec 20x6		8,800	8,800		
Cost		7,500	10,000		
Lower of cost and NRV		7,500	8,800		
Impairment loss		0	1,200	1,200	
Part (3): Non-controlling interests as at 31 Dec 20x6					
Book value of net assets as at 31 Dec 20x6			2,235,400		
Remaining balance of Fixedasset, after tax			160,000	Note 1	
Adjustment for unrealized profit in software, after tax			(34,133)	Note 2	
Adjusted net assets as at 31 Dec 20x6			2,361,267		
NCI's share of net assets			236,127		
NCI's share of goodwill			46,000	Note 3	
NCI balance as at 31 Dec 20x6			282,127		
Note 1:	(350000-100000)*16/20*80%				
Note 2:	(300000-252000)*8/9*80%				
Note 3:	180000-10%*(1390000-(20%*250000))				
CJE1: Elimination of investment in Silver Co			180,000		
CJE2: Past and current depreciation of undervalued fixed asset			(3,750)		
CJE3: Tax effects of CJE2			750		
CJE4: Adjustment of unrealized profit on transfer of intangible asset			(7,000)		
CJE5: Adjustment for tax on unrealized profit on transfer of software			1,400		
CJE6: Adjustment for excess amortization on transferred software			2,200		
CJE7: Tax effects of CJE6			(440)		
CJE8: Allocate share of post-acq RE to NCI			20,000		
CJE9: Eliminate dividends declared by Silver Co			(10,000)		
CJE10: Allocate share of current income to NCI			98,967		
NCI balance as at 31 Dec 20x6		0	282,127		

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Part (4): Analytical check on Investment in Amber:			
Book value of shareholders' equity of Amber			3,113,000
Less unrealized profit on unsold inventory, after tax	(8800-7500)*80%		(1,040)
			3,111,960
P's share of Amber's identifiable net assets			933,588
Implicit goodwill in investment in Amber:			
Investment in Amber		860,000	
BV of net assets of Amber at acq	1,690,000		
Less provision for impairment loss	(200,000)		
FV of net assets of Amber at acq	1,490,000		
Less Share of FV of net assets of Amber at acq		447,000	
Goodwill in Amber implicit in the investment in Amber			413,000
			1,346,588
Investment in Amber, at cost			860,000
EA1: Recognition of share of post-acq RE of Amber			54,000
EA2: Adjust expense on provision for litigation loss			43,200
EA3: Adjust for unrealized profit on inventory			(3,600)
EA4: Recognize share of OCI			12,000
EA5: Reclassify dividend income as a reduction of investment			(42,000)
EA7: Recognize share of current profit after tax of Amber			422,988
Investment in Amber as at 31 Dec 20x6		0	1,346,588

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Part (5) Consolidated retained earnings as at 31 Dec 20x6	
P's RE	2,050,000
P's share of S' RE	985,860
P's share of A's RE	414,900
P's share of depreciation of undervalued fixed assets	(36,000)
P's share of expensing of litigation loss	60,000
P's share of unrealized profit in software, after tax	(30,720)
P's share of unrealized profit in unsold inventory, after tax	(312)
P's unrealized loss in inventory, after tax	533
	3,444,261
P's RE	2,050,000
S's RE	1,615,400
CJE1: Elimination of investment in Silver Co	(520,000)
CJE2: Past and current depreciation of undervalued fixed asset	(46,250)
CJE3: Tax effects of CJE2	9,250
CJE4: Adjustment of unrealized profit on transfer of intangible asset	(63,000)
CJE5: Adjustment for tax on unrealized profit on transfer of software	12,600
CJE6: Adjustment for excess amortization on transferred software	25,133
CJE7: Tax effects of CJE6	(5,027)
CJE8: Allocate share of post-acq RE to NCI	(20,000)
CJE9: Eliminate dividends declared by Silver Co	10,000
CJE10: Allocate share of current income to NCI	(98,967)
CJE12: Elimination downstream sales	667
CJE13: Tax effects of CJE12	(133)
EA1: Recognition of share of post-acq RE of Amber	54,000
EA2: Adjust expense on provision for litigation loss	43,200
EA3: Adjust for unrealized profit on inventory	(3,600)
EA5: Reclassify dividend income as a reduction of investment	(42,000)
EA7: Recognize share of current profit after tax of Amber	422,988
	3,444,261

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Part (1): Consolidation entries						
CJE1: Elimination of investment in X Co						
Dr Share capital			500,000			
Dr Retained earnings			300,000			
Dr Inventory			60,000			
Dr Goodwill			252,000			
Cr Deferred tax liability				12,000		
Cr Investment in X				1,000,000		
Cr Non-controlling interests				100,000		
			1,112,000	1,112,000		
CJE2: Past cost of sales in retained earnings and current profit						
Dr Opening RE			37,800	90%*70%*60000		
Dr Non-controlling interests			4,200	10%*70%*60000		
Dr Cost of sales			16,000	(20%*60000)+4000		
Cr Inventory				58,000	(60000-2000)	
			Legal entity	Group	Difference	
Cost of remaining inventory			10,000	16,000		
NRV			12,000	12,000		
LCNRV			10,000	12,000	2,000	
Impairment loss			0	4,000	4,000	
CJE3: Tax effects of CJE2						
Dr Deferred tax liability			11,600	20%*58000		
Cr Opening RE				7,560	20%*37800	
Cr Non-controlling interests				840	20%*4200	
Cr Tax expense				3,200	20%*16000	
CJE4: Adjustment of unrealized profit on transfer of inventory						
Dr Opening RE			27,000	90%*60%*50000		
Dr NCI			3,000	10%*60%*50000		
Cr Cost of sales				25,000	50%*50000	
Cr Inventory				5,000	10%*50000	
			30,000	30,000		
CJE5: Adjustment for tax on unrealized profit on transfer of inventory						
Dr Tax expense			5,000	20%*25000		
Dr Deferred tax asset			1,000	20%*5000		
Cr Opening RE				5,400	20%*27000	
Cr NCI				600	20%*3000	
CJE6: Allocate share of post-acq RE to NCI						
Dr Opening RE			22,000			
Cr NCI (BS)				22,000		
RE at 1 Jan 2012				520,000		
RE at date of acquisition				300,000		
Change in RE				220,000		
NCI's share				22,000		

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CJE7: Eliminate dividends declared by X Co						
Dr Dividend income			36,000			
Dr Non-controlling interests			4,000			
Cr Dividend declared				40,000		
CJE8: Adjust unrealized loss on downstream sale						
Dr Fixed Assets			50,000			
Cr Loss on sale				10,000		
Cr Accumulated depreciation				40,000	Includes impairment loss	
					90000-80000	
			50,000	50,000		
		Legal entity	Group	Difference		
Fixed assets		70,000	120,000	50,000		
Accumulated depreciation and impairment			40,000	(40,000)		
Net book value		70,000	80,000			
Fair value		80,000	80,000			
CJE9: Tax effects of CJE8						
Dr Tax expense			2,000			
Cr DTL				2,000		
CJE10: Adjustment of depreciation on unrealized loss						
Dr Depreciation			500			
Cr Accumulated depreciation				500		
CJE11: Tax effects of CJE10						
Dr DTL			100			
Cr Tax expense				100		
CJE12: Allocate share of current income to NCI						
Dr Income to NCI			64,720			
Cr NCI (BS)				64,720		
NPAT of X Co					640,000	
Less cost of sales on under-valued inventory					(16,000)	
Add tax on cost of sales					3,200	
Add realized profit on transfer of inventory					25,000	
Less tax on profit on transfer of inventory					(5,000)	
Adjusted NPAT					647,200	
CJE13: Elimination of intercompany balances						
Dr Amount due to X Co			100,000			
Cr Amount due from P Co				100,000		
CJE14: Elimination of maintenance income						
Dr Rental income			45,000			
Cr Rental expense				45,000		
PART (2): Equity Accounting Entries						

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EA1: Recognize share of post-acq RE of Z					
Dr Investment in Z		18,000			
Cr Opening RE			18,000		
RE of Z as at 1 Jan 2012			300,000		
RE of Z as at date of acquisition			240,000		
Change in RE			60,000		
Share of Z's change in RE			18,000		
EA2: Adjust for past depreciation on under-valued fixed assets					
Dr ORE		9,600	30%*80%*200000*2/10		
Cr Investment in Z			9,600		
EA3: Adjust for unrealized profit in fixed assets					
Dr ORE		7,200	30000*30%*80%		
Cr Investment in Z			7,200		
EA4: Adjust for past depreciation in unrealized profit in fixed assets					
Dr Investment in Z		720	30000/5*1/2*30%*80%		
Cr ORE			720		
EA5: Recognize share of OCI					
Dr Investment in Z		6,000			
Dr Share of current OCI		15,000			
Cr Opening OCI			21,000		
EA6: Reclassify dividend income as a reduction of investment					
Dr Dividend income		30,000			
Cr Investment in Z			30,000	(30%*100000)	
EA7: Recognize share of current profit after tax of Z					
Dr Investment in Z		209,940			
Cr Share of profit after tax			209,940		
OR					
Dr Investment in Z		209,940			
Dr Share of tax of Z		55,860			
Cr Share of profit of Z			265,800		
Profit before tax of Z			900,000		
Add back excess depreciation			6,000	30000/5	
Less depreciation on under-valued fixed assets			(20,000)	200000/10	
Adjusted profit before tax of Z			886,000		
Share of adjusted profit before tax of Z			265,800		
Tax expense of Z			189,000		
Add tax on excess depreciation			1,200		
Less tax on depreciation on under-valued fixed assets			(4,000)		
Adjusted tax of Z			186,200		
Share of adjusted tax of Z			55,860		

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Part (3): Analytical check of Non-controlling interests:						
Book value of net assets as at 31 Dec 2012				1,620,000		
Under-valued inventory remaining as at 31 Dec 2012				1,600	Note 1	
Adjustment for unrealized profit in inventory				(4,000)	Note 2	
Adjusted net assets as at 31 Dec 2012				1,617,600		
NCI's share of net assets				161,760		
NCI's share of goodwill				15,200	Note 3	
NCI balance as at 31 Dec 2012				176,960		
	Note 1:	(12000-10000)*80%				
	Note 2:	50000*10%*80%				
	Note 3:	100000-10%*(860000-(20%*60000))				
CJE1: Elimination of investment in X Co				100,000		
CJE2: Past cost of sales in retained earnings and current profit				(4,200)		
CJE3: Tax effects of CJE2				840		
CJE4: Adjustment of unrealized profit on transfer of inventory				(3,000)		
CJE5: Adjustment for tax on unrealized profit on transfer of inventory				600		
CJE6: Allocate share of post-acq RE to NCI				22,000		
CJE7: Eliminate dividends declared by X Co				(4,000)		
CJE12: Allocate share of current income to NCI				64,720		
NCI balance as at 31 Dec 2012			0	176,960		
Part (4): Analytical check of Investment in Z:						
Book value of shareholders' equity of Z					1,711,000	
Adjustment for unrealized profit in fixed assets		30000*3.5/5*80%			(16,800)	
Add remaining under-valuation of fixed assets		80%*(300000-100000)*7/10			112,000	
					1,806,200	
P's share of Z's identifiable net assets					541,860	
Implicit goodwill in investment in Z:						
Investment in Z				600,000		
BV of net assets of Z at acq		1,020,000				
Under-valued fixed assets		160,000	(300000-100000)*80%			
FV of net assets of Z at acq		1,180,000				
Less Share of FV of net assets of Z at acq				354,000		
Goodwill in Z implicit in the investment in Z					246,000	
					787,860	
Investment in Z, at cost					600,000	
EA1: Recognize share of post-acq RE of Z					18,000	
EA2: Adjust for past depreciation on under-valued fixed assets					(9,600)	
EA3: Adjust for unrealized profit in fixed assets					(7,200)	
EA4: Adjust for past depreciation in unrealized profit in fixed assets					720	
EA5: Recognize share of OCI					6,000	
EA6: Reclassify dividend income as a reduction of investment					(30,000)	
EA7: Recognize share of current profit after tax of Z					209,940	
Investment in Z as at 31 Dec 2012				0	787,860	

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Part (5): Consolidated Retained Earnings					
Listings approach					
P Co's RE as at 31 December 20x6					3,120,000
X Co's RE as at 31 December 20x6					1,120,000
CJE1: Elimination of investment in X Co					(300,000)
CJE2: Past cost of sales in retained earnings and current profit					(53,800)
CJE3: Tax effects of CJE2					10,760
CJE4: Adjustment of unrealized profit on transfer of inventory					(2,000)
CJE5: Adjustment for tax on unrealized profit on transfer of inventory					400
CJE6: Allocate share of post-acq RE to NCI					(22,000)
CJE7: Eliminate dividends declared by X Co					4,000
CJE8: Adjust unrealized loss on downstream sale					10,000
CJE9: Tax effects of CJE8					(2,000)
CJE10: Adjustment of depreciation on unrealized loss					(500)
CJE11: Tax effects of CJE10					100
CJE12: Allocate share of current income to NCI					(64,720)
EA1: Recognize share of post-acq RE of Z					18,000
EA2: Adjust for past depreciation on under-valued fixed assets					(9,600)
EA3: Adjust for unrealized profit in fixed assets					(7,200)
EA4: Adjust for past depreciation in unrealized profit in fixed assets					720
EA6: Reclassify dividend income as a reduction of investment					(30,000)
EA7: Recognize share of current profit after tax of Z					209,940
					4,002,100
Analytical check					
P's RE as at 31 Dec 20x6			3,120,000		
P's share of X Co's RE as at 31 Dec 20x6			738,000		
P's share of Z Co's RE as at 31 Dec 20x6			201,300		
P's share of cost of sales of undervalued inventory			(41,760)		
P's share of depreciation of undervalued fixed assets			(14,400)		
P's share of unrealized profit in ending inventory (US)			(3,600)		
P's share of unrealized loss in fixed assets (DS)			7,600		
P's share of unrealized profit in fixed assets (Assoc)			(5,040)		
Consolidated RE as at 31 Dec 20x6			4,002,100		-

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Part (1): Consolidation entries for year ended 31 December 20x6				
CJE1: Elimination of investments				
Dr Share capital	500,000			
Dr Retained earnings	120,000			
Dr Goodwill	676,000			
Dr Equity investments	30,000			
Cr DTL		6,000		
Cr Investment in Silver Co		1,200,000		
Cr Non-controlling interests		120,000		
	1,326,000	1,326,000		
NCI's share of goodwill		55,600	120000-10%*(650000-6000)	
CJE2: Adjustment of sale of under-valued equity investments				
Dr Profit on sale of equity investments	10,000			
Dr Loss on sale of equity investments	8,000			
Cr Equity investments		18,000		
	Legal entity	Group entity		
Sales proceeds	160,000	160,000		
Carrying amount	150,000	168,000		
Profit on sale / (Loss on sale)	10,000	(8,000)		
CJE3: Tax on CJE2				
Dr Deferred tax liability	3,600			
Cr Tax expense		3,600		
CJE4: Adjustment of year end unrealized difference on equity investments				
Dr Fair value gain	5,000			
Dr Fair value loss	7,000			
Cr Equity investments		12,000		
	Legal entity	Group entity		
Fair value	105,000	105,000		
Carrying amount	100,000	112,000		
Gain (loss)	5,000	(7,000)		
CJE5: Tax effects on CJE4				
Dr Deferrred tax liability	2,400			
Cr Tax expense		2,400		
CJE6: Adjustment for unrealized loss on transfer of fixed assets (20x5)				
Reinstate to original cost and accumulated depreciation prior to transfer				
Dr Fixed assets	250,000			
Cr Accumulated depreciation		240,000	222000+(148000-130000)	
Cr Opening RE		9,000		
Cr NCI		1,000		
	Shd be	What is	Adjustment	
Fixed assets, cost	370,000	120,000	250,000	
Accumulated depreciation	(222,000)	0	(222,000)	
Net book value	148,000	120,000	28,000	
Provision for impairment loss			18,000	
TP			120,000	
NBV			148,000	
FV			130,000	
Artificial loss			10,000	
CJE7: Adjustment for tax on unrealized loss on transfer of fixed assets				
Dr Opening RE	1,800			

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Dr NCI			200			
Cr DTL				2,000		
CJE8: Adjustment of current depreciation on transferred fixed asset						
Dr Opening RE			4,500			
Dr NCI			500			
Dr Depreciation expense			5,000			
Cr Accumulated depreciation				10,000		
Depreciation before transfer					65,000	
Depreciation after transfer					60,000	
Annual under-depreciation to be corrected					5,000	
CJE9: Tax effects on CJE8						
Dr DTL			2,000			
Cr Tax expense				1,000		
Cr Opening RE				900		
Cr NCI				100		
CJE10: Allocate share of post-acq RE to NCI						
Dr Opening RE			18,000			
Cr NCI				18,000		
RE at 1 Jan 20x6					300,000	
RE at date of acquisition					120,000	
Change in RE					180,000	
NCI's share					18,000	
CJE11: Eliminate dividends declared by Silver Co						
Dr Dividend income			36,000			
Dr Non-controlling interests			4,000			
Cr Dividend declared				40,000		
CJE12: Allocate share of current income to NCI						
Dr Income to NCI			57,200			
Cr NCI (BS)				57,200		
NPAT of Silver Co					600,000	
Less adjustment of profit on under-valued equity investments					(18,000)	
Add tax expense on adjustment of profit					3,600	
Less adjustment of unrealized profit on under-valued equity investments					(12,000)	
Add tax expense on adjustment of profit					2,400	
Less under-depreciation on gain on sale of FA					(5,000)	
Add tax expense on gain on sale of FA					1,000	
Adjusted NPAT					572,000	
CJE13: Adjustment of unrealized profit in 20x6						
Dr Sales			320,000			
Cr Cost of sales				320,000		
			S' books	Group		
Inventory			32,000	30,000		
NRV			26,000	26,000		
Impairment loss			6,000	4,000		
LCNRV			26,000	26,000		
Cost of sales comprises of:						
COS (P)				30,000	Unsold portion reversed	
COS (S)				288,000	Sold portion eliminated	
Reversal of impairment loss				2,000		
				320,000		

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CJE14: Elimination of intercompany balance					
Dr Payable to P Co		200,000			
Cr Receivable from Silver Co			200,000		
Part (2): Analytical check of Non-controlling Interests					
Book value of net assets as at 31 Dec 20x6				1,360,000	
Undervalued equity investments				0	
Adjusted net assets as at 31 Dec 20x6				1,360,000	
NCI's share				136,000	
NCI's share of goodwill				55,600	
NCI at year-end				191,600	
CJE1: NCI at date of acquisition				120,000	
CJE6: Adjustment for unrealized loss on transfer of fixed assets (20x5)				1,000	
CJE7: Adjustment for tax on unrealized loss on transfer of fixed assets				(200)	
CJE8: Adjustment of current depreciation on transferred fixed asset				(500)	
CJE9: Tax effects on CJE8				100	
CJE7: Share of post-acq RE				18,000	
CJE8: Dividends received				(4,000)	
CJE9: Allocate share of current income to NCI				57,200	
NCI balance as at 31 Dec 20x6				191,600	0
Part (3): Equity accounting entries for the year ended 31 December 20x6					
EA1: Recognize share of post-acq RE of Ruby Co					
Dr Investment in Ruby		60,000			
Cr Opening RE			60,000		
RE of Ruby Co as at 1 Jan 20x6			420,000		
RE of Ruby Co as at date of acquisition			220,000		
Change in RE			200,000		
Share of Ruby Co's change in RE			60,000		
EA2: Recognize past impairment of intangible asset, after-tax					
Dr Opening RE		9,600	30%*80%*40000		
Cr Investment in Ruby Co			9,600		
		Legal entity	Econ entity		
Carrying amount		120,000	200,000		
Recoverable amount		160,000	160,000		
Impairment loss		0	40,000		
EA3: Adjust unrealized profit from past transfer of inventory, after-tax					
Dr Opening RE		9,720	(120000-75000)*90%*80%*30%		
Cr Investment in Ruby Co			9,720		
EA4: Adjust unrealized profit from transfer of debt securities, after-tax					
Dr Opening RE		3,035	30%*80%*(972000-959355)		
Cr Investment in Ruby Co			3,035		

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Original purchase price			950,000		
Add amortized discount for 20x5			9,355		
Unamortized balance as at 1 Jan 20x6			959,355		
Transfer price			972,000		
Profit on transfer			12,645		
Investor's share, after tax			3,035		
EA5: Adjust past interest income on transferred debt securities, after tax					
Dr Investment in Ruby Co		699			
Cr Opening RE			699		
"New" interest income			26,730		
"Old" interest income			29,644		
Interest income			2,914		
Investor's share, after tax			699		
EA6: Reclassify dividend income as a reduction of investment					
Dr Dividend income		24,900			
Cr Investment in Ruby Co			24,900		
EA7: Recognize share of current profit after tax of Ruby Co					
Dr Investment in Ruby Co		299,886			
Cr Share of profit of Ruby Co			299,886		
Alternatively:					
Dr Investment in Ruby Co		299,886			
Dr Share of tax of Ruby Co		59,972			
Cr Share of profit of Ruby Co			359,858		
NPBT			1,200,000		
Less impairment loss of intangible asset			(20,000)	(160000-140000)	
Add realized profit from sale of inventory (downstream)			31,500	70%*45000	
Add difference in interest income			3,027	29942-26915	
Less unrealized gain in inventory during year of transfer			(24,000)	(200000-160000)*60%	
Add back impairment loss in inventory			9,000	60%*(200000-185000)	
Adjusted NPBT of Ruby Co			1,199,527		
Tax expense of Ruby Co			200,000		
Less tax on impairment loss of intangible asset			(4,000)		
Add tax on realized profit from inventory sale			6,300		
Add tax on difference in interest income			605		
Less tax on unrealized gain in inventory			(4,800)		
Add tax on impairment loss in inventory			1,800		
Adjusted tax expense of Ruby Co			199,905		
Amortization of debt securities based on original effective interest					
	Eff interest	**Coupon interest**	**Amortization**	**Carrying amount**	
	3.09%				
1 Jan 20x4				950,000	
1 Jan 20x5	29,355	20,000.00	9,355	959,355	
1 Jan 20x6	29,644	20,000.00	9,644	968,999	
1 Jan 20x7	29,942	20,000.00	9,942	978,941	
1 Jan 20x8	30,249	20,000.00	10,249	989,190	
1 Jan 20x9	30,566	20,000.00	10,566	999,756	Rounding up errors

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Amortization of debt securities based on new effective interest rate						
	Eff interest	**Coupon interest**	**Amortization**	**Carrying amount**		
	2.75%					
1 Jan 20x5				972,000		
1 Jan 20x6	26,730	20,000.00	6,730	978,730		
1 Jan 20x7	26,915	20,000.00	6,915	985,645		
1 Jan 20x8	27,105	20,000.00	7,105	992,750		
1 Jan 20x9	27,301	20,000.00	7,301	1,000,051	Rounding up errors	
Part (4): Analytical check of Investment in Ruby Co:						
Book value of shareholders' equity of Ruby Co					2,037,000	
Unrealized profit in inventory (downstream)			20%*80%*(120000-75000)		(7,200)	
Unrealized profit in inventory (upstream)			60%*80%*(185000-160000)		(12,000)	
Unrealized profit in debt securities			(985645-978941)*80%		(5,363)	
					2,012,437	
P's share of Ruby Co's adjusted identifiable net assets					603,731	
P's share of unimpaired intangible asset			30%*80%*(140000-120000)		4,800	
Implicit goodwill in investment in Ruby Co:						
Investment in Ruby Co				600,000		
BV of net assets of Ruby Co at acq			920,000			
Excess of FV over BV of intangible asset (after-tax)			64,000			
FV of net assets of Ruby Co at acq			984,000			
Less Share of FV of net assets of Ruby Co at acq				295,200		
Goodwill in Ruby Co implicit in the investment in Ruby Co					304,800	
					913,331	
Investment in Ruby Co, at cost					600,000	
EA1: Recognize share of post-acq RE of Ruby Co					60,000	
EA2: Recognize past impairment of intangible asset, after-tax					(9,600)	
EA3: Adjust unrealized profit from past transfer of inventory, after-tax					(9,720)	
EA4: Adjust unrealized profit from transfer of debt securities, after-tax					(3,035)	
EA5: Adjust past interest income on transferred debt securities, after tax					699	
EA6: Reclassify dividend income as a reduction of investment					(24,900)	
EA7: Recognize share of current profit after tax of Ruby Co					299,886	
Investment in Ruby Co as at 31 Dec 20x6					913,331	0
Part (5) : Reconcile consolidated retained earnings as at 31 December 20x6						
Listing approach						
	P's RE				2,180,000	
	S's RE				860,000	
CJE1: Elimination of investments					(120,000)	
CJE2: Adjustment of sale of under-valued equity investments					(18,000)	
CJE3: Tax on CJE2					3,600	
CJE4: Adjustment of year end unrealized difference on equity investments					(12,000)	
CJE5: Tax effects on CJE4					2,400	
CJE6: Adjustment for unrealized loss on transfer of fixed assets (20x5)					9,000	
CJE7: Adjustment for tax on unrealized loss on transfer of fixed assets					(1,800)	
CJE8: Adjustment of current depreciation on transferred fixed asset					(9,500)	
CJE9: Tax effects on CJE8					1,900	
CJE10: Allocate share of post-acq RE to NCI					(18,000)	

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CJE11: Eliminate dividends declared by Silver Co	4,000	
CJE12: Allocate share of current income to NCI	(57,200)	
EA1: Recognize share of post-acq RE of Ruby Co	60,000	
EA2: Recognize past impairment of intangible asset, after-tax	(9,600)	
EA3: Adjust unrealized profit from past transfer of inventory, after-tax	(9,720)	
EA4: Adjust unrealized profit from transfer of debt securities, after-tax	(3,035)	
EA5: Adjust past interest income on transferred debt securities, after tax	699	
EA6: Reclassify dividend income as a reduction of investment	(24,900)	
EA7: Recognize share of current profit after tax of Ruby Co	299,886	
	3,137,731	
Analytical approach		
P's RE	2,180,000	
P's share of post-acquisition RE of Silver	666,000	
P's share of post-acquisition RE of Ruby Co	335,100	
Share of profit/(loss) on sale of undervalued equity investments, after tax	(21,600)	90%*80%*30000
Share of past impairment of intangible asset, after tax	(14,400)	30%*80%*60000
Share of unrealized profit from debt securities, after tax	(1,609)	30%*5363
Share of unrealized profit from inventory transfers with associate, after tax	(5,760)	30%*19200
	3,137,731	0

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Part (1): Consolidation entries for year ended 31 December 20x6			
CJE1: Elimination of investment in Sapphire Co			
Dr Share capital	720,000		
Dr Retained earnings	400,000		
Dr Provision for claims	50,000		
Dr Goodwill	1,040,000		
Cr Deferred tax liability		10,000	
Cr Investment in Sapphire Co		2,000,000	
Cr Non-controlling interests		200,000	
	2,210,000	2,210,000	
NCI's share of goodwill	84,000	200000-10%*(1170000-(20%*50000))	
CJE2: Adjustment to expense on past settlement on claims			
Dr Opening RE	45,000		
Dr Non-controlling interests	5,000		
Cr Provision for claims		50,000	
CJE3: Tax effects of CJE2			
Dr DTL	10,000		
Cr Opening RE		9,000	
Cr Non-controlling interests		1,000	
CJE4: Adjustment for unrealized profit in buildings			
Dr Opening RE	90,000	90%*100000	
Dr Non-controlling interest	10,000	10%*100000	
Cr Construction WIP		100,000	
CJE5: Adjustment for tax on unrealized profit on CJE4			
Dr Deferred tax asset	20,000		
Cr Opening RE		18,000	
Cr Non-controlling interests		2,000	
CJE6: Adjustment of current unrealized profit in construction work-in-progress			
Dr Construction revenue	720,000		
Cr Construction costs		600,000	
Cr Construction WIP		120,000	
CJE7: Adjustment of tax on current unrealized profit in construction WIP			
Dr Deferred tax asset	24,000	20%*120000	
Cr Tax expense		24,000	
CJE8: Elimination of progress billings			
Dr Progress billings	1,100,000		
Cr Building		1,100,000	
CJE9: Reclassification of construction WIP to building			
Dr Building	1,160,000		
Cr Construction WIP		1,160,000	
CJE10: Adjustment of excess depreciation on building			
Dr Depreciation	2,143		
Cr Accumulated depreciation		2,143	

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		Legal entity	Legal entity	Group	Difference
		S	P		
Asset reported on BS		WIP	Fixed assets	Fixed assets	
Cost of warehouse			1,100,000	1,160,000	
Depreciation			39,286	41,429	2,143
			1100000/14*0.5	1160000/14*0.5	
Accumulated depreciation			39,286	41,429	
Carrying amount		280,000	1,060,714	1,118,571	-222,143
CJE11: Tax effects of CJE10					
Dr Deferred tax asset			429		
Cr Tax expense				429	
CJE12: Allocate share of post-acq RE to NCI					
Dr Opening RE			27,000		
Cr NCI (BS)				27,000	
RE at 1 Jan 20x6					670,000
RE at date of acquisition					400,000
Change in RE					270,000
NCI's share					27,000
CJE13: Eliminate dividends declared by Sapphire Co					
Dr Dividend income			77,400		
Dr Non-controlling interests			8,600		
Cr Dividend declared				86,000	
CJE14: Adjustment for artificial loss on upstream transfer of inventory					
Dr Sales			250,000		
Dr Inventory			6,000	81000-75000	
Cr Cost of sales				256,000	
Re-instate inventory to fair value from artificially low TP					
			Legal entity	Group entity	
OC			75,000	90,000	
NRV			81,000	81,000	
LCNRV			75,000	81,000	
CJE15: Tax effects of CJE14					
Dr Tax expense			1,200		
Cr DTL				1,200	
CJE16: Allocate share of current income to NCI					
Dr Income to NCI			70,709		
Cr NCI (BS)				70,709	
NPAT of Sapphire Co					800,000
Less unrealized construction profit					(120,000)
Less tax on unrealized profit					24,000
Less additional depreciation on building					(2,143)
Add tax on additional depreciation					429
Add back unrealized loss on inventory transfer					6,000
Less tax on unrealized loss on inventory transfer					(1,200)
Adjusted NPAT					707,086
CJE17: Eliminate intercompany payable and receivable					
Dr Intercompany payable			480,000		
Cr Intercompany receivable				480,000	

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Part (2): Analytical check of Non-controlling interests					
Book value of net assets as at 31 Dec 20x6					2,104,000
Add back unrealized loss in ending inventory				80%*(81000-75000)	4,800
Adjustment for unrealized profit in building				80%*(220000+2143)	(177,714)
Adjusted net assets as at 31 Dec 20x6					1,931,086
NCI's share					193,109
Add NCI's goodwill					84,000
					277,109
CJE1: Elimination of investment in Sapphire Co					200,000
CJE2: Adjustment to expense on past settlement on claims					(5,000)
CJE3: Tax effects of CJE2					1,000
CJE4: Adjustment for unrealized profit in buildings					(10,000)
CJE5: Adjustment for tax on unrealized profit on CJE4					2,000
CJE12: Allocate share of post-acq RE to NCI					27,000
CJE13: Eliminate dividends declared by Sapphire Co					(8,600)
CJE16: Allocate share of current income to NCI					70,709
NCI balance as at 31 Dec 20x6				0	277,109
Part (3): Equity accounting entries for the year ended 31 December 20x6					
EA1: Recognize share of post-acq RE of Amber Co					
Dr Investment in Amber Co			66,000		
Cr Opening RE				66,000	
RE of Amber Co as at 1 Jan 20x6				400,000	
RE of Amber Co as at date of acquisition				180,000	
Change in RE				220,000	
Share of Amber Co's change in RE				66,000	
EA2: Adjustment of unrealized architects' fees from project WIP (after-tax)					
Dr Opening RE			33,600	140000*30%*80%	
Cr Investment in Amber Co				33,600	
EA3: Recognize share of past cost of sale on under-valued inventory (after-tax)					
Dr Opening RE			3,360	(320000-280000)*35%*80%*30%	
Cr Investment in Amber Co				3,360	
EA4: Recognize adjustment of past unrealized profit on transfer of fixed assets (after-tax)					
Dr Opening RE			7,200	30000*80%*30%	
Cr Investment in Amber Co				7,200	
Transfer price		380,000			
Cost	420,000				
Acc Dep	(70,000)	350,000			
Unrealized profit		30,000			
After-tax		24,000			
P's share		7,200			
EA5: Recognize adjustment to past depreciation on unrealized profit					
Dr Investment in Amber		720	30000/5*1/2*80%*30%		
Cr Opening RE			720		
Depreciation before transfer				35,000	350000/5*0.5
Depreciation after transfer				38,000	380000/5*0.5
Half-year depreciation				(3,000)	
Alternatively:		30000/5*0.5			
After tax				(2,400)	
Share at 30%				(720)	

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No entries required for impairment loss					
		Legal	Group	Adjustment	Equity accounting
Carrying amount		75,000	65,000		
NRV		60,000	60,000		
LCNRV		60,000	60,000	0	0
EA6: Reclassify dividend income as a reduction of investment					
Dr Dividend income			23,400		
Cr Investment in Amber Co				23,400	
EA7: Recognize P Co's share of current profit after tax of Amber Co					
Dr Investment in Amber Co			192,180		
Cr Share of profit of Amber Co				192,180	
Alternatively:					
Dr Investment in Amber Co			192,180		
Dr Share of tax of Amber Co			51,120		
Cr Share of profit of Amber Co				243,300	
NPBT				820,000	
Add realization through depreciation on fixed assets				6,000	30000/5
Add excess depreciation on building				5,000	140000/14*0.5
Less higher cost of sales from under-valued inventory				(20,000)	(320000-280000)*50%
Adjusted NPBT of Amber Co				811,000	
Tax expense of Amber Co				172,200	
Add tax on excess depreciation				1,200	
Add tax on excess depreciation on building				1,000	
Less tax on amortization of intangible asset				(4,000)	
Adjusted tax expense of Amber Co				170,400	
EA9: Recognition of share of OCI from Amber Co					
Dr Investment in Amber Co			45,000		
Cr Share of current OCI				15,000	
Cr OCI				30,000	

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Part (4): Analytical check of Investment in Amber Co:			
Book value of shareholders' equity of Amber Co			1,619,800
Less unrealized profit after depreciation after tax		30000/5*3.5*80%	(16,800)
Balance of under-valued inventory (after-tax)		40000*15%*80%	4,800
Less unrealized profit from building (after-tax)		140000*80%*13.5/14	(108,000)
			1,499,800
P's share of Z's identifiable net assets			449,940
Implicit goodwill in investment in Amber Co:			
Investment in Amber Co		1,200,000	
BV of net assets of Amber Co at acq	680,000		
Undervalued inventory (after-tax)	32,000		
FV of net assets of Amber Co at acq	712,000		
Less Share of FV of net assets of Amber Co at acq		213,600	
Goodwill in Amber Co implicit in the investment in Amber Co			986,400
			1,436,340
Investment in Amber Co, at cost			1,200,000
EA1: Recognize share of post-acq RE of Amber Co			66,000
EA2: Adjustment of unrealized architects' fees from project WIP (after-tax)			(33,600)
EA3: Recognize share of past cost of sale on under-valued inventory (after-tax)			(3,360)
EA4: Recognize adjustment of past unrealized profit on transfer of fixed assets (after-tax			(7,200)
EA5: Recognize adjustment to past depreciation on unrealized profit			720
EA6: Reclassify dividend income as a reduction of investment			(23,400)
EA7: Recognize P Co's share of current profit after tax of Amber Co			192,180
EA9: Recognition of share of OCI from Amber Co			45,000
Investment in Amber Co as at 31 Dec 20x6		0	1,436,340
Part (5): Analytical check on Consolidated Retained Earnings			
Listings approach			
P Co's RE as at 31 December 20x6			3,050,000
Sapphire Co's RE as at 31 December 20x6			1,384,000
Pre-acquisition retained earnings			(400,000)
Settlement of past claims			(45,000)
Tax effects			9,000
Unrealized profit in buildings			(90,000)
Tax effects			18,000
Unrealized profit in construction WIP			(120,000)
Tax effects			24,000
Excess depreciation on building			(2,143)
Tax effects			429
Post-acquisition RE to NCI			(27,000)
Dividend elimination			8,600
Artificial loss			6,000
Tax effects			(1,200)
Income to NCI			(70,709)
Post-acquisition RE of Amber			66,000
Unrealized architect's fees			(33,600)
Past cost of sale of under-valued inventory			(3,360)
Past unrealized profit on transfer of fixed assets			(7,200)
Past depreciation on unrealized profit			720
Reclassification of dividend income			(23,400)
Share of profit of Amber			192,180
			3,935,317

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Analytical check on Consolidated Retained Earnings		
P's RE as at 31 Dec 20x6	3,050,000	
P's share of Sapphire's RE as at 31 Dec 20x6	885,600	
P's share of Amber's RE as at 31 Dec 20x6	236,940	
P's share of past expensing of litigation loss	(36,000)	
P's share of past cost of sales of undervaluation	(8,160)	
P's share of unrealized loss in ending inventory	4,320	
P's share of unrealized profit in building	(159,943)	90%*177714
P's share of unrealized profit in fixed assets	(5,040)	16800*30%
P's share of unrealized profit in buildings	(32,400)	108000*30%
Consolidated RE as at 31 Dec 20x6	3,935,317	

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PART (1): Equity accounting entries for the year ended 31 December 20x4					
EA1: Recognize share of post-acq RE of Z					
Dr Investment in Z		30,000			
Cr Opening Retained Earnings (RE)			30,000		
RE of Z as at 1 Jan 20x4			300,000		
RE of Z as at date of acquisition			200,000		
Change in RE			100,000		
Share of Z's change in RE			30,000		
EA2: Adjust for past cost of sales on under-valued inventory					
Dr Opening RE		2,880	60%*80%*30%*(200000-180000)		
Cr Investment in Z			2,880		
EA3: Adjust for unrealized profit in fixed assets					
Dr Opening RE		4,800	(60000-40000)*30%*80%		
Cr Investment in Z			4,800		
EA4: Adjust for past depreciation in unrealized profit in fixed assets					
Dr Investment in Z		480	20000/5*1/2*30%*80%		
Cr Opening RE			480		
EA5: Recognize share of revaluation reserves					
Dr Share of current revaluation reserves		12,000			
Cr Revaluation reserves			9,000		
Cr Investment in Z			3,000		
EA6: Reclassify dividend income as a reduction of investment					
Dr Dividend income		30,000			
Cr Investment in Z			30,000	(30%*100000)	
EA7: Recognize share of current profit after tax of Z					
Dr Investment in Z		212,340			
Cr Share of profit of Z			212,340		
OR					
Dr Investment in Z		212,340			
Dr Share of tax of Z		56,460			
Cr Share of profit of Z			268,800		
Profit before tax of Z			900,000		
Add back excess depreciation			4,000	=20000/5	
Less cost of sales on under-valued inventory			(6,000)	30%*20000	
Less impairment loss			(2,000)		
Adjusted profit before tax of Z			896,000		
Share of adjusted profit before tax of Z			268,800		
Tax expense of Z			189,000		
Add tax on excess depreciation			800		
Less tax on cost of sales of under-valued inventory			(1,200)		
Less tax on impairment loss			(400)		

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Adjusted tax of Z				188,200		
Share of adjusted tax of Z				56,460		
			Legal entity	Group entity		
Net realizable value			6,000	6,000		
Carrying amount			18,000	20,000		
LCNRV			6,000	6,000		
Impairment loss			12,000	14,000	2,000	

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PART (2): Analytical check of Investment in Z:						
Book value of shareholders' equity of Z					1,711,000	
Adjustment for unrealized profit in equipment			80%*20000*3.5/5		(11,200)	
					1,699,800	
P's share of Z's identifiable net assets					509,940	
Implicit goodwill in investment in Z:						
Investment in Z				600,000		
BV of net assets of Z at acq			1,010,000			
Under-valued inventory			16,000	(200000-180000)*80%		
FV of net assets of Z at acq			1,026,000			
Less Share of FV of net assets of Z at acq				307,800		
Goodwill in Z implicit in the investment in Z					292,200	
					802,140	
Investment in Z, at cost					600,000	
EA1: Recognize share of post-acq RE of Z					30,000	
EA2: Adjust for past cost of sales on under-valued inventory					(2,880)	
EA3: Adjust for unrealized profit in fixed assets					(4,800)	
EA4: Adjust for past depreciation in unrealized profit in fixed assets					480	
EA5: Recognize share of revaluation reserves					(3,000)	
EA6: Reclassify dividend income as a reduction of investment					(30,000)	
EA7: Recognize share of current profit after tax of Z					212,340	
Investment in Z as at 31 Dec 20x4				0	802,140	
PART (3): Ignore (1) and (2). P Co applies the equity method to determine the Investment in Associate account in its separate financial statements from date of initial investment.						
(a) Determine the Investment in Associate balance as at 31 December 20x3.						
Book value of shareholders' equity of Z						
Share capital					700,000	
Retained earnings					300,000	
Revaluation reserves					140,000	
					1,140,000	
Less unrealized profit in equipment, after-tax			20000/5*4.5*80%		(14,400)	
Add under-valued inventory at 31 December 20x3			80%*40%*20000		6,400	
Adjusted shareholders' equity as at 31 December 20x3					1,132,000	
P's share of Z's identifiable net assets				30%*1132000	339,600	
Implicit goodwill in investment in Z:						
Investment in Z				600,000		
BV of net assets of Z at acq			1,010,000			
Under-valued inventory			16,000	(200000-180000)*80%		
FV of net assets of Z at acq			1,026,000			
Less Share of FV of net assets of Z at acq				307,800		
Goodwill in Z implicit in the investment in Z					292,200	
					631,800	

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(b) Prepare the journal entries to apply the equity method in the current year ended 31 December 20x4						
(Please note that the current year should be 20x4, not 20x3. Apologies for the typographical error).						
JE1: Equity accounting of current share of profit (See workings in EA7 above)						
Dr Share of profit after tax			212,340			
Cr Investment				212,340		
JE2: Equity accounting of current share of revaluation reserves						
Dr Share of revaluation reserves			12,000			
Cr Investment in Z				12,000		
JE3: Recognition of dividend as repayment of profit						
Dr Cash			30,000			
Cr Investment in Z				30,000		
Check for balance in associate as at 31 December 20x4 (optional check)						
Investment in Associate, 1 January 20x4 (Equity Method)				631,800		
JE1: Share of current profit				212,340		
JE2: Share of current revaluation reserves				(12,000)		
JE3: Repayment of profit				(30,000)		
				802,140	-	

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Notes to instructors: Please note typographical corrections.The year in the Part (1) and (2) should						
be 20x6 (not 20x4). The year in Part (3)(a) should be 20x5 (not 20x3) and Part (3)(b) should be 20x6 (not						
20x3). Apologies for the errors.						
Part (1): Equity Accounting Entries for the year ended 31 December 20x6						
EA1: Recognize post-acquisition retained earnings to 1 January 20x5						
Dr Investment in Amber Co			6,000			
Cr Opening RE				6,000		
RE of Amber Co as at 1 Jan 20x6				720,000		
RE of Amber Co as at date of acquisition				700,000		
Change in RE				20,000		
Share of Amber Co's change in RE				6,000		
EA2: Recognize share of past amortization and impairment loss of intangible asset (after-tax)						
Dr Opening RE			48,000	(800000/10+120000)*80%*30%		
Cr Investment in Amber Co				48,000		
		31 Dec 20x5	31 Dec 20x6	31 Dec 20x6 (assuming no impairment)		
NBV of intangible asset		720000	533,333	640,000	800000/10*8	
Recoverable amount		600000	630,000	630,000		
Impairment loss (reversal)		120000	96,667			
EA3: Recognize adjustment of past unrealized profit on transfer of fixed assets (after-tax)						
Dr Opening RE		19,200	80000*80%*30%			
Cr Investment in Amber Co			19,200			
Transfer price		500,000				
Cost	520,000					
Acc Dep	(100,000)	420,000				
Unrealized profit		80,000				
After-tax		64,000				
P's share		19,200				
EA4: Recognize adjustment to past depreciation on unrealized profit						
Dr Investment in Amber		2,400	80000/4*1/2*80%*30%			
Cr Opening RE			2,400			
Depreciation before transfer				52,500	420000/4*0.5	
Depreciation after transfer				62,500	500000/4*0.5	
Half-year depreciation				(10,000)		
Alternatively:		80000/4*0.5				
After tax				(8,000)		
Share at 30%				(2,400)		
EA5: Reclassify dividend income as a reduction of investment						
Dr Dividend income			27,000			
Cr Investment in Amber Co				27,000		
EA6: Recognize P Co's share of current profit after tax of Amber Co						
Dr Investment in Amber Co			222,000			
Cr Share of profit after tax of Amber Co				222,000		
Dr Investment in Amber Co			222,000			
Dr Share of tax of Amber Co			63,000			
Cr Share of profit of Amber Co				285,000		
NPBT				900,000		
Add realization through depreciation on fixed assets				20,000	80000/4	
Less amortization of intangible asset				(66,667)	600000/9	
Add reversal of impairment loss on intangible asset				96,667	Workings	
Adjusted NPBT of Amber Co				950,000		

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Tax expense of Amber Co				200,000		
Add tax on excess depreciation				4,000		
Less tax on amortization				(13,333)		
Add tax on reversal of impairment of intangible asset				19,333		
Adjusted tax expense of Amber Co				210,000		
EA7: Recognition of share of revaluation reserves from Amber Co						
Dr Investment in Amber Co			42,000			
Cr Share of current revaluation reserves				36,000		
Cr Opening revaluation reserves				6,000		
Analytical check of Investment in Amber Co:						
Book value of shareholders' equity of Amber Co					2,050,000	
Less unrealized profit after depreciation after tax				80000/4*2.5*80%	(40,000)	
Unamortized balance of intangible asset (after-tax)				630000*80%	504,000	
					2,514,000	
P's share of Amber's identifiable net assets					754,200	
Implicit goodwill in investment in Amber Co:						
Investment in Amber Co				1,100,000		
BV of net assets of Amber Co at acq			1,280,000			
Unrecognized intangible (after-tax)			640,000			
FV of net assets of Amber Co at acq			1,920,000			
Less Share of FV of net assets of Amber Co at acq				576,000		
Goodwill in Amber Co implicit in the investment in Amber Co					524,000	
					1,278,200	
Investment in Amber Co, at cost					1,100,000	
EA1: Recognize post-acquisition retained earnings to 1 January 20x5					6,000	
EA2: Recognize share of past amortization and impairment loss of intangible asset (after-tax)					(48,000)	
EA3: Recognize adjustment of past unrealized profit on transfer of fixed assets (after-tax)					(19,200)	
EA4: Recognize adjustment to past depreciation on unrealized profit					2,400	
EA5: Reclassify dividend income as a reduction of investment					(27,000)	
CJE17:Share of current profit after tax					222,000	
EA7: Recognition of share of revaluation reserves from Amber Co					42,000	
Investment in Amber Co as at 31 Dec 20x6				0	1,278,200	
PART (3) Ignore (1) and (2)						
(a) Determine the Investment in Associate balance as at 31 December 20x5.						
Shareholders' equity as at 31 December 20x5						
	Share capital				500,000	
	Retained earnings				720,000	
	Revaluation reserves				100,000	
					1,320,000	
Less unrealized profit as at 31 December 20x5, after tax					(56,000)	
Add unimpaired intangible asset, after tax					480,000	
Adjusted shareholders' equity as at 31 December 20x5					1,744,000	
P Co's share of identifiable net assets as at 31 December 20x5					523,200	
Implicit goodwill in investment in Amber Co:						
Investment in Amber Co				1,100,000		
BV of net assets of Amber Co at acq			1,280,000			
Unrecognized intangible (after-tax)			640,000			

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FV of net assets of Amber Co at acq			1,920,000			
Less Share of FV of net assets of Amber Co at acq				576,000		
Goodwill in Amber Co implicit in the investment in Amber Co					524,000	
Investment in associate as at 31 December 20x5					1,047,200	
(b) Prepare the journal entries to apply the equity method in the current year ended 31 December 20x6						
JE1: Equity accounting of current share of profit (See workings in EA6 above)						
Dr Share of profit after tax			222,000			
Cr Investment				222,000		
JE2: Equity accounting of current share of revaluation reserves						
Dr Investment in Amber			36,000			
Cr Revaluation reserves				36,000		
JE3: Recognition of dividend as repayment of profit						
Dr Cash			27,000			
Cr Investment in Z				27,000		
Check for balance in associate as at 31 December 20x6 (optional check):						
Investment in Associate, 1 January 20x6 (Equity method)				1,047,200		
JE1: Share of current profit				222,000		
JE2: Share of revaluation reserves				36,000		
JE3: Repayment of profit				(27,000)		
				1,278,200	-	

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PART (1): Prepare the journal entry to record the effects of the joint operations on P Co's financial statements		
Workings: The amounts attributable to each joint operator is as follows		
	P Co	T Co	Total
Share of fixed assets	1,520,000	380,000	1,900,000
Share of inventory	-	300,000	300,000
Share of accounts receivable	200,000	200,000	400,000
Share of cash	10,000	10,000	20,000
Share of current liabilities	(1,088,000)	(272,000)	(1,360,000)
Share of long-term liabilities	(230,000)	(230,000)	(460,000)
Net assets attributable to each operator	412,000	388,000	800,000
Initial investment	0	0	
Share of revenue	1,500,000	1,500,000	
Share of expenses	(1,000,000)	(1,000,000)	
Share of taxes	(100,000)	(100,000)	
Net equity attributable to each operator	400,000	400,000	
Management fee (expense) paid to P Co	12,000	(12,000)	
Dr Fixed assets	1,520,000		
Dr Accounts receivable	200,000		
Dr Cash	10,000		
Dr Expenses	1,000,000		
Dr Taxes	100,000		
Cr Revenue		1,500,000	
Cr Management fee income		12,000	
Cr Current liabilities		1,088,000	
Cr Long-term liabilities		230,000	
	2,830,000	2,830,000	

PART (2): Show the combined financial statements of P Co for the year ended 31 December 20x5 after incorporating the effects of the joint operations.			
Income Statement and Statement of Changes in Equity (extract) for the year ending 31 December 20x5			*Combined financial statements*
	P Co	**Z**	
Revenues	6,000,000	3,000,000	7,500,000
Management fee from joint operations			12,000
Expenses	(4,000,000)	(2,000,000)	(5,000,000)
Profit before tax	2,000,000	1,000,000	2,512,000
Tax	(400,000)	(200,000)	(500,000)
Profit after tax	1,600,000	800,000	2,012,000
Dividends	(300,000)		(300,000)
Profit retained	1,300,000	800,000	1,712,000
Retained earnings, 1 Jan 20x5	1,200,000	0	1,200,000
Retained earnings, 31 Dec 20x5	2,500,000	800,000	2,912,000

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Statement of Financial Position as at 31 December 20x5						*Combined*
			P Co		**Z**	*financial statements*
Fixed assets, net book value			3,500,000		1,900,000	5,020,000
Other long-term assets			500,000			500,000
Inventory			800,000		300,000	800,000
Accounts receivable			520,000		400,000	720,000
Cash			100,000		20,000	110,000
			5,420,000		2,620,000	7,150,000
Current liabilities			420,000		1,360,000	1,508,000
Long-term liabilities			500,000		460,000	730,000
Initial capital			2,000,000		0	2,000,000
Retained earnings			2,500,000		800,000	2,912,000
			5,420,000		2,620,000	7,150,000

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If the joint arrangement in P6.19 is a joint venture with ownership interests of 50% each in Z,						
show the equity accounting entries and the final balance in the Investment in Z for the						
year ended 31 December 20x5.						
As a joint venture, 50% of Z's profit will be equity accounted by P Co.						
The provision of guarantees for lending serves as a basis of capital funding for Z.						
Equity accounting entries:						
EA1: Recognize the share of profit of Z Co						
Dr Investment in Z Co			400,000			
Cr Share of profit after tax				400,000		
Income Statement and Statement of Changes in Equity (extract)						
for the year ending 31 December 20x5						**P Co (with**
			P Co		**Z**	**equity accounting)**
Revenues			6,000,000		3,000,000	6,000,000
Expenses			(4,000,000)		(2,000,000)	(4,000,000)
Share of profit of Z						400,000
Profit before tax			2,000,000		1,000,000	2,400,000
Tax			(400,000)		(200,000)	(400,000)
Profit after tax			1,600,000		800,000	2,000,000
Dividends			(300,000)			(300,000)
Profit retained			1,300,000		800,000	1,700,000
Retained earnings, 1 Jan 20x5			1,200,000		0	1,200,000
Retained earnings, 31 Dec 20x5			2,500,000		800,000	2,900,000

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Statement of Financial Position as at 31 December 20x5	**P Co**		**Z**	**P Co (with equity accounting)**
Fixed assets, net book value	3,500,000		1,900,000	3,500,000
Investment in Z				400,000
Other long-term assets	500,000			500,000
Inventory	800,000		300,000	800,000
Accounts receivable	520,000		400,000	520,000
Cash	100,000		20,000	100,000
	5,420,000		2,620,000	5,820,000
Current liabilities	420,000		1,360,000	420,000
Long-term liabilities	500,000		460,000	500,000
Initial capital	2,000,000		0	2,000,000
Retained earnings	2,500,000		800,000	2,900,000
	5,420,000		2,620,000	5,820,000

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